

COVER SHEET

SEC Registration Number

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COMPANY NAME

A	B	S	-	C	B	N		C	O	R	P	O	R	A	T	I	O	N		A	N	D							
S	U	B	S	I	D	I	A	R	I	E	S																		

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

A	B	S	-	C	B	N		B	R	o	a	d	c	a	s	t		C	e	n	t	e	r	,		S	g	t	.
E	S	g	u	e	r	r	a		A	v	e	n	u	e		c	o	r	n	e	r		M	o	t	h	e	r	
I	G	n	a	c	i	a		S	t	.	,		Q	u	e	z	o	n		C	i	t	y						

Form Type

A	A	C	F	S
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Department requiring the report

C	R	M	D
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Secondary License Type, If
Applicable

N	/	A	
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COMPANY INFORMATION

Company's Email Address	Company's Telephone Number	Mobile Number
IR@abs-cbn.com	(632) 3415 - 2272	-
No. of Stockholders	Annual Meeting (Month / Day)	Fiscal Year (Month / Day)
5,145	June 25	September 30

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person	Email Address	Telephone Number/s	Mobile Number
Ricardo B. Tan Jr.	Rick_Tan@abs-cbn.com	(632) 3415-2272	-

CONTACT PERSON'S ADDRESS

ABS-CBN Broadcast Center, Sgt. Esguerra Avenue corner Mother Ignacia St. Quezon City
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NOTE 1 : In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

**SECURITIES AND EXCHANGE
COMMISSION SEC FORM 17-Q**
QUARTERLY REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES

1. For the fiscal year ended: **September 30, 2025**
2. SEC Identification Number: **1803** 3. BIR Tax Identification No.: **000-406-761-000**
4. Exact name of issuer as specified in its charter: **ABS-CBN CORPORATION AND SUBSIDIARIES**
5. **Philippines** 6. (SEC Use Only)
Province, Country or other jurisdiction of Industry Classification Code:
incorporation or organization
7. **ABS-CBN Broadcast Center, Sgt. Esguerra Avenue corner Mother Ignacia St., Quezon City 1100**
Address of principal office
8. **(632) 924-4101 to 22 / (632) 415-2272**
Issuer's telephone number, including area code
9. **Not applicable**
Former name, former address, and former fiscal year, if changed since last report.

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

<u>Title of Each Class</u>	<u>Number of Shares of Stock Issued</u>
Common Stock, P1.00 par value	899,848,111 shares
Preferred Stock, P0.20 par value	1,000,000,000 shares
Short-term & Long-term debt (current & non-current)	<u>₱12.9 billion</u>

11. Are any or all of these securities listed on a Stock Exchange?
Yes [☒] No [☐]

If yes, state the name of such stock exchange and the classes of securities listed therein:

Philippine Stock Exchange Common Stock

12. Check whether the issuer:

- (a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports);

Yes [☒] No [☐]

- (b) has been subject to such filing requirements for the past ninety (90) days.

Yes [☒] No [☐]



ABS-CBN CORPORATION QUARTERLY REPORT

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1. Management's Discussion and Analysis of Financial Condition and Results of Operations
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ANNEX A

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following is a discussion of ABS-CBN Corporation and its Subsidiaries' financial performance for the nine months ended September 30, 2025, and 2024.

All values are presented in Philippine Pesos and are rounded to the nearest million, except when otherwise indicated.

The table below summarizes the financial results per business segment for the nine months ended September 30, 2025, and 2024.

CONTENT PRODUCTION & DISTRIBUTION

<i>in Millions Php</i>		2025	2024	Variance	
No	Description	9 Months	9 Months	Fav (Unfav)	%
A	TOTAL REVENUES	9,125	7,996	1,129	14%
B	TOTAL EXPENSES	10,290	10,255	(35)	0%
C	OPERATING INCOME (LOSS)	(1,165)	(2,259)	1,093	48%
D	OTHER INCOME (EXPENSES)	(491)	90	(581)	-645%
E	NET INCOME (LOSS)	(1,656)	(2,169)	512	24%
<i>e1</i>	<i>RECURRING</i>	<i>(1,508)</i>	<i>(2,797)</i>	<i>1,288</i>	<i>46%</i>
<i>e2</i>	<i>NON-RECURRING</i>	<i>(148)</i>	<i>628</i>	<i>(776)</i>	<i>-124%</i>
F	EBITDA	(586)	(572)	(14)	-2%
<i>f1</i>	<i>RECURRING</i>	<i>(438)</i>	<i>(1,200)</i>	<i>762</i>	<i>64%</i>
<i>f2</i>	<i>NON-RECURRING</i>	<i>(148)</i>	<i>628</i>	<i>(776)</i>	<i>-124%</i>

Revenues

<i>in Millions Php</i>		2025	2024	Variance	
No	Description	9 Months	9 Months	Fav (Unfav)	%
A	TOTAL REVENUES	9,125	7,996	1,129	14%
a1	Advertising Revenue	5,466	4,772	694	15%
a2	Consumer Revenue	3,659	3,225	435	13%

The segment generated total revenue of ₱9.13 billion for the nine months ended September 30, 2025, representing a 14% increase or ₱1.13 billion compared to the same period in 2024.

Advertising revenue increased by ₱694 million year-on-year, driven by both regular and election-related advertising. Advertising revenue benefited from the performance of leading primetime shows, including "Batang Quiapo," "Incognito," "Saving Grace," "It's Okay to Not Be Okay", and "TV Patrol," the country's longest-running news program. Additionally, digital advertising revenue grew 5% year-on-year, driven by improved ad sales performance of iWant, Kapamilya Online Live, and an expanded presence on third-party platforms, including YouTube.

Consumer revenues increased 13% from ₱3.23 billion in 2024 to ₱3.66 billion in 2025, driven by several key performance areas:

The film division delivered strong box-office results from "And the Breadwinner is..." and "My Love Will Make You Disappear," with robust performance in overseas markets.

iWant's relaunch in July introduced a modernized interface and refreshed branding enhancing the streaming experience across devices. This contributed to the subscriber base growth, both domestically and internationally. The re-launch also featured brand new original content made available exclusively on the platform.

Live events and experiences continued to be a significant revenue growth engine to the segment. A key highlight was BINI's World Tour, which began with their sold-out performance at the Philippine Arena—marking the first time a Filipino group had headlined and sold out the venue as a solo act, following their successful three-day, sold-out concerts at the Araneta Coliseum in 2024. The World Tour continued across 14 cities, including Dubai, London, Vancouver, Toronto, and ten major U.S. cities.

ABS-CBN Global staged twenty four (24) events across international markets, including the sold-out ASAP Birmingham, England. These further contributed to the revenue growth of the Group.

The period also marked a groundbreaking collaboration between ABS-CBN and GMA Network, featuring the participation of stars from both Star Magic and Sparkle in the iconic Pinoy Big Brother house.

Expenses

Operating costs and expenses totaled ₱10.29 billion, flat compared to the prior year.

There were more concerts and events mounted in 2025 which resulted to higher costs, but overall expenses were reduced through comprehensive cost control measures that decreased general and administrative expenses and employee costs by a combined ₱452 million.

Net Income (Loss)

The segment reported a net loss of ₱1.66 billion for the nine months ended September 30, 2025, representing a 24% improvement compared to the net loss of ₱2.17 billion in the same period of the prior year. Recurring net loss for the same period was ₱1.5 billion, reflecting an improvement of ₱1.29 billion or 46% versus 2024.

EBITDA

EBITDA was negative ₱586 million for the nine months ended September 30, 2025, relatively flat compared to the corresponding period in 2024. Recurring EBITDA totaled negative ₱438 million, representing an improvement of ₱762 million or 64% year-on-year.

CABLE TV & BROADBAND:

<i>in Millions Php</i>		2025	2024	Variance	
No	Description	9 Months	9 Months	Fav (Unfav)	%
A	TOTAL REVENUES	2,625	4,122	(1,497)	-36%
B	TOTAL EXPENSES	3,233	4,933	1,700	34%
C	OPERATING INCOME (LOSS)	(608)	(811)	203	25%
D	OTHER INCOME (EXPENSES)	23	393	(370)	-94%
E	NET INCOME (LOSS)	(585)	(417)	(167)	-40%
<i>e1</i>	<i>RECURRING</i>	<i>(585)</i>	<i>(844)</i>	<i>260</i>	<i>31%</i>
<i>e2</i>	<i>NON-RECURRING</i>	<i>-</i>	<i>426</i>	<i>(426)</i>	<i>-100%</i>
F	EBITDA	425	1,120	(695)	-62%
<i>f1</i>	<i>RECURRING</i>	<i>425</i>	<i>694</i>	<i>(269)</i>	<i>-39%</i>
<i>f2</i>	<i>NON-RECURRING</i>	<i>-</i>	<i>426</i>	<i>(426)</i>	<i>-100%</i>

Revenues

Revenue for the nine months ended September 30, 2025, totaled ₱2.63 billion, representing a 36% decrease compared to the same period in 2024, primarily due to the continued decline in the subscriber base.

Expenses

Total operating costs and expenses amounted to ₱3.23 billion, representing a reduction of ₱1.7 billion, or a 34% improvement, compared to the prior year. This decrease resulted from the continuous implementation of cost control measures, which reduced cost of services, general and administrative expenses, and employee costs.

Net Income (Loss)

The segment reported a net loss of ₱585 million for the nine months ended September 30, 2025, representing a ₱167 million or 40% increase in loss compared to the ₱417 million net loss in 2024.

The recurring net loss for the nine months ended September 30, 2025, was ₱585 million, an improvement of ₱260 million or 31% versus the same period last year.

EBITDA

EBITDA for the nine months ended September 30, 2025, was ₱425 million, representing a decrease of ₱695 million, or 62%, compared to 2024. This decline was due to non-recurring EBITDA gains recognized in the prior year.

Recurring EBITDA for the nine months ended September 30, 2025, totaled ₱425 million, a decline of ₱269 million or 39% versus the prior year.

CONSOLIDATED FINANCIAL RESULTS

<i>in Millions Php</i>		2025	2024	Variance	
No	Description	9 Months	9 Months	Fav (Unfav)	%
A	TOTAL REVENUES	11,750	12,118	(369)	-3%
B	TOTAL EXPENSES	13,523	15,188	1,665	11%
C	OPERATING INCOME (LOSS)	(1,773)	(3,069)	1,296	42%
D	OTHER INCOME (EXPENSES)	(468)	484	(951)	-197%
E	NET INCOME (LOSS)	(2,241)	(2,587)	346	13%
<i>e1</i>	<i>RECURRING</i>	<i>(2,093)</i>	<i>(3,641)</i>	<i>1,548</i>	<i>43%</i>
<i>e2</i>	<i>NON-RECURRING</i>	<i>(148)</i>	<i>1,054</i>	<i>(1,202)</i>	<i>-114%</i>
F	EBITDA	(161)	548	(709)	-129%
<i>f1</i>	<i>RECURRING</i>	<i>(13)</i>	<i>(506)</i>	<i>493</i>	<i>97%</i>
<i>f2</i>	<i>NON-RECURRING</i>	<i>(148)</i>	<i>1,054</i>	<i>(1,202)</i>	<i>-114%</i>

Consolidated Revenues

Total consolidated revenues for the nine months ended September 30, 2025, reached ₱11.75 billion, a decline of ₱369 million or 3% compared to the previous year's ₱12.12 billion.

Although revenues from the Content Production & Distribution segment increased by ₱1.13 billion driven by both advertising and consumer revenue, there was a ₱1.50 billion decline in the Cable TV and Broadband segment due to the continued decline in the subscriber base.

Consolidated Expenses

Consolidated operating costs and expenses totaled ₱13.52 billion, representing a reduction of ₱1.67 billion or 11% improvement compared to the same period last year. This reduction was achieved through the continuous implementation of cost control measures, resulting in decreased general and administrative expenses, as well as lower employee costs.

Consolidated Net Income (Loss)

Consolidated net loss for the nine months ended September 30, 2025, amounted to ₱2.24 billion, an improvement of ₱346 million or 13% compared to the prior year's net loss of ₱2.59 billion.

Excluding one-time gains and expenses, recurring consolidated net loss for the nine months ended September 30, 2025, improved by ₱1.55 billion or 43% versus the same period last year.

Consolidated EBITDA

Consolidated EBITDA reached ₱161 million, a decline of ₱709 million compared to 2024. This decline was due to non-recurring EBITDA gains recognized in the prior year. Recurring EBITDA for the nine months ended September 30, 2025, improved by ₱493 million or 97% compared to the prior year.

BUSINESS SEGMENTS

The Company categorizes its operations into two reportable business segments: (i) Content Production and Distribution and (ii) Sky Cable. These segments form the basis for measuring business operations and performance.

	<u>Content Production & Distribution</u> Entertainment News International Movies Music Licensing and Syndication Cable Networks Digital Live Events Talent Management
<u>Partnerships:</u> 	
	<u>Cable & Broadband</u> Cable TV Broadband

The following analysis presents the operational results of the Company's business segments for the nine months ended September 30, 2025:

<i>In Millions Php</i> Segment	Revenue		Net Income (Loss)	
	9 Months 2025	9 Months 2024	9 Months 2025	9 Months 2024
Content Production and Distribution	₱9,125	₱7,996	₱ (1,656)	₱ (2,169)
Cable & Broadband	₱2,625	₱4,122	₱ (585)	₱ (417)

A. Content Production and Distribution

The segment's net loss improved by 24% compared to the previous year.

Despite ABS-CBN Corporation's franchise not being renewed, the Company continued to explore and pursue strategic business relationships with local and foreign entities to ensure maximum exposure and monetization of its content assets.

To continue serving Filipino audiences and viewers worldwide, the Parent Company launched the Kapamilya Channel on cable television and its digital streaming channel, "Kapamilya Online Live," on August 1, 2020. The Company also entered into partnerships and licensing agreements with various local and international entities to broaden its distribution reach, including:

- Zoe Broadcasting Network, Inc.
- TV5 Network, Inc.
- Signal TV, Inc.
- GMA Network, Inc.
- Advance Media Broadcasting Services, Inc.
- Netflix
- Viu
- Amazon Prime

The group implemented several strategic initiatives:

- The Company expanded its international reach by consolidating its owned domestic and global over-the-top platforms into "iWant," resulting in subscription revenue growth.
- iWant's relaunch in July introduced a modernized interface and refreshed branding centered on "Filipino feels", enhancing the streaming experience across devices.
- The Company continues leveraging various third-party platforms, including YouTube, Facebook, TikTok, X (formerly Twitter), and Instagram, to maximize reach and generate advertising revenue.
- The Film division delivered outstanding performance improvements, driven by worldwide ticket sales across various releases.
- The Music and Talent divisions continued generating revenue growth and performance improvements. A significant contributor to the nine-months performance was the sold-out concert by breakthrough group BINI at the Philippine Arena.
- The Global Division expanded its reach to Filipino communities worldwide by staging events across different international markets.

These strategic initiatives diversified and increased Content Production and Distribution revenue by 14%, generating total revenues of ₱9.13 billion for the nine months ended September 30, 2025.

B. Cable & Broadband

Following the expiration of its franchise, Sky Cable discontinued its direct-to-home (DTH) service beginning in August 2020. Consequently, the Company continued focusing on expanding its broadband subscriber base. Sky Cable generated revenues of ₱2.63 billion for the nine months ended September 30, 2025.

CAPITAL EXPENDITURES

Capital expenditures and program rights acquisitions totaled ₱438 million for the period ended September 30, 2025.

STATEMENT OF FINANCIAL POSITION ACCOUNTS

As of September 30, 2025, total consolidated assets amounted to ₱38.54 billion, representing a 14% decrease from total assets of ₱44.9 billion recorded as of December 31, 2024.

Shareholders' equity totaled ₱1.59 billion as of September 30, 2025, representing a decrease of ₱934 million or 37% compared to December 31, 2024.

EXHIBIT 1 – Aging of Accounts Receivable

As of September 30, 2025 (Unaudited)

September 30, 2025						
	Neither Past Due nor Impaired	Past Due but not Impaired		Impaired	Allowance	Total
		Less than 30 days	30 Days and Over			
Trade receivables:						
Airtime	₱1,712,660	₱114,644	₱799,988	₱329,630	(₱329,630)	₱2,627,291
Subscriptions	306,860	184,277	283,773	2,300,073	(2,300,073)	774,910
Others	579,173	138,633	482,604	74,597	(74,597)	1,200,410
Nontrade receivables*	34,195	18,861	20,180	598,403	(598,403)	73,236
Due from related parties			125,848	12,396	(12,396)	125,848
	₱2,632,888	₱456,415	₱1,712,393	₱3,315,099	(₱3,315,099)	₱4,801,695

**Excluding advances to employees and talents*

As of December 31, 2024 (Audited)

December 31, 2024						
	Neither Past Due nor Impaired	Past Due but not Impaired		Impaired	Allowance	Total
		Less than 30 days	30 Days and Over			
Trade receivables:						
Airtime	₱1,558,490	₱241,776	₱1,044,609	₱329,630	(₱329,630)	₱2,844,875
Subscriptions	364,742	50,357	398,689	2,086,919	(2,086,919)	813,788
Others	1,043,389	316,676	651,685	74,597	(74,597)	2,011,750
Nontrade receivables*	145,868	110,211	393,904	513,509	(513,509)	649,983
Due from related parties	—	—	55,613	87,896	(87,896)	55,613
	₱3,112,489	₱719,020	₱2,544,500	₱3,092,551	(₱3,092,551)	₱6,376,009

**Excluding advances to employees and talents*

ABS-CBN Corporation and Subsidiaries

Unaudited Interim Consolidated Financial Statements
September 30, 2025
and for the Nine Months Ended September 30, 2025 and 2024
(with Comparative Audited Consolidated Statements of Financial
Position as at December 31, 2024)

ABS-CBN CORPORATION AND SUBSIDIARIES
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL
POSITION
(Amounts in Thousands)

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS		
Current Assets		
Cash and cash equivalents (Note 6)	₱718,117	₱1,361,003
Short-term investments (Note 6)	8,153	10,713
Trade and other receivables (Notes 7 and 24)	4,890,525	7,410,701
Inventories (Note 8)	26,205	28,094
Program rights and other intangible assets (Note 13)	375,262	422,547
Other current assets (Note 16)	4,965,119	3,247,806
	10,983,381	12,480,864
Noncurrent assets held for sale (Note 32)	1,959,540	6,088,061
Total Current Assets	12,942,921	18,568,925
Noncurrent Assets		
Property and equipment:		
At cost (Note 10)	11,190,448	12,321,347
At revalued amounts (Note 11)	7,179,374	7,317,374
Goodwill, program rights and other intangible assets - net of current portion (Note 13)	852,067	987,574
Financial assets at fair value through other comprehensive income (FVOCI) (Note 14)	14,419	14,269
Investment properties (Notes 12 and 19)	863	983
Investments in associates and joint ventures (Note 15)	103,178	103,178
Deferred tax assets (Note 30)	1,704,265	1,577,195
Other noncurrent assets (Note 17)	4,548,450	4,107,314
Total Noncurrent Assets	25,593,064	26,429,234
TOTAL ASSETS	₱38,535,985	₱44,998,159
LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables (Notes 4, 18, 24 and 31)	₱13,074,599	₱12,942,929
Contract liabilities (Note 9)	1,567,847	1,926,219
Income tax payable	370,410	394,716
Obligations for program rights (Note 20)	31,531	23,142
Current lease liabilities (Note 33)	336,589	340,231
Interest-bearing loans and borrowings (Notes 10 and 19)	8,726,294	15,817,798
Total Current Liabilities	24,107,270	31,445,035
Noncurrent Liabilities		
Interest-bearing loans and borrowings – net of current portion (Notes 10 and 19)	₱4,208,095	₱–
Accrued pension obligation and other employee benefits (Note 31)	4,766,249	6,248,868
Deferred tax liabilities (Note 30)	2,391,326	3,943,849
Noncurrent lease liabilities (Note 33)	57,020	94,732
Convertible notes (Note 21)	230,360	218,152
Other noncurrent liabilities (Note 22)	1,184,966	524,315
Total Noncurrent Liabilities	12,838,016	11,029,916
Total Liabilities	₱36,945,286	₱42,474,951

(Forward)

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Equity Attributable to Equity Holders of the Parent Company		
Capital stock (Note 23):		
Common	₱899,848	₱899,848
Preferred	200,000	200,000
Additional paid-in capital	4,428,759	4,428,759
Treasury shares and Philippine depository receipts convertible to common shares (Note 23)	(544,168)	(544,168)
Exchange differences on translation of foreign operations	1,532,997	1,522,164
Fair value reserves on financial assets at FVOCI (Note 14)	3,728	3,728
Shared-based payment plan	(15)	(15)
Revaluation increment - net (Note 11)	4,904,559	9,140,242
Deficit (Note 23)	(3,556,786)	(7,094,955)
Equity attributable to equity holders of the Parent Company	7,868,922	8,555,603
Noncontrolling Interests (Note 4)	(6,278,223)	(6,032,395)
Total Equity	1,590,699	2,523,208
TOTAL LIABILITIES AND EQUITY	₱38,535,985	₱44,998,159

See accompanying Notes to Consolidated Financial Statements.

ABS-CBN CORPORATION AND SUBSIDIARIES
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(Amounts in Thousands, Except Per Share Amounts)

	For the Quarter Ended September 30 (Unaudited)		Nine Months Ended September 30 (Unaudited)	
	2025	2024	2025	2024
REVENUES (Notes 5, 24 and 25)	₱3,475,309	₱4,331,820	₱11,749,921	₱12,118,907
PRODUCTION COSTS (Notes 10, 13, 24, 26, 31 and 33)	(1,698,534)	(1,633,248)	(5,063,657)	(5,006,673)
COST OF SERVICES (Notes 8, 10, 13, 24, 27, 31 and 33)	(1,810,804)	(1,585,274)	(4,530,557)	(4,979,965)
COST OF SALES (Notes 8 and 27)	(3,554)	(12,414)	(8,392)	(78,420)
GROSS PROFIT	(37,583)	1,100,884	2,147,315	2,053,849
GENERAL AND ADMINISTRATIVE EXPENSES (Notes 7, 8, 10, 12, 13, 23, 24, 28, 31 and 32)	(1,065,795)	(1,742,695)	(3,920,404)	(5,123,302)
FINANCE COSTS (Notes 19, 21 and 29)	(246,952)	(275,549)	(717,668)	(818,404)
INTEREST INCOME (Note 6)	5,732	4,730	11,280	4,874
FOREIGN EXCHANGE GAINS (LOSSES) - Net	(16,931)	126,526	10,921	37,795
EQUITY IN NET INCOME (LOSSES) OF ASSOCIATES AND JOINT VENTURES (Note 15)	-	(194)	-	(3,844)
OTHER INCOME - NET (Notes 29 and 33)	(107,301)	390,713	64,554	1,322,201
LOSS BEFORE INCOME TAX	(1,468,830)	(395,585)	(2,404,002)	(2,526,831)
PROVISION FOR INCOME TAX (Note 30)				
Current	(63,850)	93,258	101,358	189,470
Deferred	(16,017)	(29,196)	(263,925)	(129,012)
	(79,867)	64,062	(162,567)	60,458
NET LOSS	(1,388,963)	(459,647)	(2,241,435)	(2,587,289)
Net loss Attributable to:				
Equity holders of the Parent Company (Note 36)	(1,280,065)	(389,868)	(1,995,457)	(2,407,124)
Noncontrolling interests	(108,898)	(69,779)	(245,978)	(180,165)
	(1,388,963)	(459,647)	(2,241,435)	(2,587,289)
Basic/Diluted Loss Per Share Attributable to Equity Holders of the Parent Company (Note 36)	(₱1.427)	(₱0.438)	(₱2.222)	(₱2.679)

See accompanying Notes to Consolidated Financial Statements.

ABS-CBN CORPORATION AND SUBSIDIARIES
INTERIM CONDENSED CONSOLIDATED STATEMENTS OF
COMPREHENSIVE INCOME
(Amounts in Thousands)

	For the Quarter Ended September 30 (Unaudited)		Nine Months Ended September 30 (Unaudited)	
	2025	2024	2025	2024
NET LOSS	(P1,388,963)	(P459,647)	(P2,241,435)	(P2,587,289)
OTHER COMPREHENSIVE LOSS				
Other comprehensive loss not to be reclassified to profit and loss in subsequent periods:				
Remeasurement gain (loss) on defined benefit plan - net of tax (Note 31)	-	-	-	(468,042)
Revaluation increment - net of tax (Note 11)	1,267,386	(224,254)	1,297,943	-
Fair value adjustments on financial assets at FVOCI (Note 14)	-	26,229	150	46,005
	1,267,386	(250,483)	1,298,093	(421,987)
Other comprehensive income to be reclassified to profit or loss in subsequent periods:				
Exchange differences on translation of foreign operations	20,623	(76,896)	10,833	(95,922)
	20,623	(76,896)	10,833	(95,922)
OTHER COMPREHENSIVE INCOME (LOSS)	1,288,009	(327,379)	1,308,926	(517,909)
TOTAL COMPREHENSIVE LOSS	(P100,954)	(P787,026)	(P932,509)	(P3,105,198)
Total Comprehensive Loss Attributable to:				
Equity holders of the Parent Company	P7,944	(P717,247)	(P686,681)	(P2,952,033)
Noncontrolling interests	(108,898)	(69,779)	(245,828)	(180,165)
	P100,954	(P787,026)	(P932,509)	(P3,105,198)

See accompanying Notes to Consolidated Financial Statements.

ABS-CBN CORPORATION AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024

(Amounts in Thousands)

	Attributable to Equity Holders of the Parent Company												
	Capital Stock (Note 23)		Additional Paid-in Capital	Treasury Shares and Philippine Depository Receipts Convertible to Common Shares (Note 23)	Exchange Differences in Translation of Foreign Operations	Fair Value Reserves on Financial Assets At FVOCI (Note 14)	Revaluation increment - Net (Note 11)	Remeasurement Gain (Loss) on Defined Benefit Plan - Net (Note 31)	Share-based Payment Plan	Retained Earnings (Note 23)	Noncontrolling Interests (Note 4)	Total Equity	
	Common	Preferred											
													Total
At December 31, 2024 (Audited)	₱899,848	₱200,000	₱4,428,759	(₱544,168)	₱1,522,164	₱3,728	₱9,140,242	₱–	(₱15)	(₱7,094,955)	₱8,555,603	(₱6,032,395)	₱2,523,208
Net loss	–	–	–	–	–	–	–	–	–	(1,995,457)	(1,995,457)	(245,978)	(2,241,435)
Other comprehensive income (loss)	–	–	–	–	10,833	–	1,297,943	–	–	–	1,308,776	150	1,308,926
Total comprehensive income (loss)	–	–	–	–	10,833	–	1,297,943	–	–	(1,995,457)	(686,681)	(245,828)	(932,509)
Remeasurement loss on defined benefit plan transferred to retained earnings	–	–	–	–	–	–	–	–	–	–	–	–	–
Disposal of financial assets at FVOCI (Note 14)	–	–	–	–	–	–	–	–	–	–	–	–	–
Disposal of land at revalued amount (Note 11)	–	–	–	–	–	–	(131,330)	–	–	131,330	–	–	–
Reduction in revaluation increment (Note 11)	–	–	–	–	–	–	(5,402,296)	–	–	5,402,296	–	–	–
At September 30, 2025 (Unaudited)	₱899,848	₱200,000	₱4,428,759	(₱544,168)	₱1,532,997	₱3,728	₱4,904,559	₱–	(₱15)	(₱3,556,786)	₱7,868,922	(₱6,278,223)	₱1,590,699

Attributable to Equity Holders of the Parent Company

	Capital Stock (Note 23)		Additional	Treasury Shares and Philippine Depository Receipts Convertible to Common Shares (Note 23)	Exchange Differences in Translation of Foreign Operations	Fair Value Reserves on Financial Assets At FVOCI (Note 14)	Revaluation increment - Net (Note 11)	Remeasurement Gain (Loss) on Defined Benefit Plan - Net (Note 31)	Share-based Payment Plan	Retained Earnings (Note 23)	Total	Noncontrolling Interests (Note 4)	Total Equity
	Common	Preferred	Paid-in Capital										
At December 31, 2023 (Audited)	₱899,848	₱200,000	₱4,428,759	(₱544,168)	₱1,202,087	₱98,344	₱10,180,940	₱–	(₱15)	(₱2,891,939)	₱13,573,856	(₱4,342,210)	₱9,231,646
Net loss	–	–	–	–	–	–	–	–	–	(2,419,298)	(2,419,298)	(167,991)	(2,587,289)
Other comprehensive income	–	–	–	–	(95,922)	46,055	(468,042)	–	–	–	(517,909)	–	(517,909)
Total comprehensive income (loss)	–	–	–	–	(95,922)	46,055	(468,042)	–	–	(2,419,298)	(2,937,207)	(167,991)	(3,105,198)
Remeasurement gain on defined benefit plan transferred to retained earnings	–	–	–	–	–	–	–	–	–	–	–	–	–
Share-based payment (Note 23)	–	–	–	–	–	–	–	–	–	–	–	–	–
At September 30, 2024 (Unaudited)	₱899,848	₱200,000	₱4,428,759	(₱544,168)	₱1,106,165	₱144,399	₱9,712,898	₱–	(₱15)	(₱5,311,237)	₱10,636,649	(₱4,510,201)	₱6,126,447

See accompanying Notes to Consolidated Financial Statements.

ABS-CBN CORPORATION AND SUBSIDIARIES**INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS****(Amounts in Thousands)**

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before income tax	(₱2,404,002)	(₱2,526,831)
Adjustments to reconcile income before tax to net cash flows:		
Depreciation and amortization (Notes 10, 12, 26, 27 and 28)	1,274,812	1,867,338
Amortization of:		
Program rights and other intangibles (Note 13, 26, 27 and 28)	359,609	545,515
Debt issue costs (Note 29)	7,252	13
Interest expense (Note 29)	672,219	796,899
Movements in accrued pension obligation and other employee benefits (Note 31)	(586,619)	475,589
Gain on sale of noncurrent assets held for sale (Notes 24, 29 and 32)	-	(414,685)
Gain on sale of property and equipment (Notes 11 and 29)	(28,351)	(678,597)
Interest income (Notes 6)	(11,280)	(4,874)
Net unrealized foreign exchange (gain) loss	(21,926)	(34,873)
Equity in net (gains) losses of associates and joint ventures (Note 15)	-	3,844
Impairment loss	499	-
Working capital changes:		
Decrease (increase) in:		
Trade and other receivables	2,019,341	999,857
Other current assets	(273,682)	(1,540,776)
Inventories	1,881	98,309
Increase (decrease) in:		
Trade and other payables	90,503	2,655,442
Contract liabilities	(358,372)	57,554
Obligations for program rights	8,426	(31,324)
Other noncurrent liabilities	(2,385,221)	170,012
Cash generated from (used in) operations	(1,634,911)	2,438,413
Income taxes paid	(125,664)	(229,059)
Net cash provided by (used in) operating activities	(1,760,575)	2,209,354
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to:		
Property and equipment (Note 10)	(261,149)	(775,529)
Goodwill, program rights and other intangible assets (Notes 13)	(175,079)	(362,129)
Decrease in other noncurrent assets	11,748	(321,954)
Proceeds from sale of noncurrent assets held for sale (Note 32)	6,240,717	485,003
Proceeds from sale of property and equipment (Note 10)	147,639	(275,671)
Decrease in short-term investments	(2,560)	(12)
Interest received	5,548	31,329
Net cash used in investing activities	5,966,864	(667,621)

(Forward)

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of:		
Long-term debt (Note 19 and 37)	(P2,730,942)	(P879,208)
Interest (Note 37)	(645,893)	(874,265)
Lease liabilities (Note 35)	(19,265)	(33,643)
Sale of treasury shares	—	—
Additions to (decrease in) restricted cash	(1,452,222)	—
Net cash used in financing activities (Note 37)	(4,848,322)	(1,787,116)
EFFECTS OF EXCHANGE RATE CHANGES AND TRANSLATION		
ADJUSTMENTS ON CASH AND CASH EQUIVALENTS	(853)	(2,004)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(642,886)	(247,387)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	1,361,003	1,403,528
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 6)	P718,117	P1,156,141

See accompanying Notes to Consolidated Financial Statements.

ABS-CBN CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(Amounts in Thousands Unless Otherwise Specified)

1. Corporate Information, Status of Operations and Authorization for Issuance of the Consolidated Financial Statements

ABS-CBN Corporation (“ABS-CBN” or “Parent Company”) was incorporated in the Philippines on July 11, 1946. On July 27, 1994, the Philippine Securities and Exchange Commission (“SEC”) approved the extension of the corporate term of the Parent Company for another 50 years. The Parent Company’s core business is television and radio broadcasting. Its subsidiaries and associates are involved in the following related businesses: cable and television distribution and movie production, audio recording and distribution, video/audio post-production and film distribution. Other activities of the subsidiaries include merchandising and internet services.

The Parent Company was a holder of a legislative to construct, install, operate and maintain, for commercial purposes and in the public interest, radio and television broadcasting stations in the Philippines until May 4, 2020. On July 10, 2020, the House Committee on Legislative Franchises (regular and ex-officio members) voted to adopt a resolution denying the franchise application of the Parent Company (the “Resolution”).

ABS-CBN and Subsidiaries (collectively referred to as “the Group”) incurred net losses of ₱6.1 billion, ₱12.8 billion and ₱2.6 billion for the years ended December 31, 2024, 2023 and 2022, respectively. The Group’s current liabilities exceeded its current assets by ₱12.9 billion and ₱19.3 billion as of December 31, 2024 and 2023, respectively. Moreover, the Parent Company is required to maintain certain financial ratios and the effectivity of the standstill provision in the Parent Company’s Omnibus Intercreditor and Security Agreement with its lenders has been extended only until December 31, 2024 (the “Long Stop date”). With this, the Parent Company’s interest-bearing loans have been classified as current (see Note 19). Despite the current classification of the interest-bearing loans, the Parent Company continues to service its loan obligations with its creditor banks according to the original maturity schedule. The Parent Company is in discussions with its lenders to address the effect of the expiry of the standstill, including, but not limited to, the waiver of financial ratios for 2025 and the long-stop date, possible options for the early settlement of the loan through sale of certain assets and to refinance its outstanding loans. These conditions indicate that a material uncertainty exists that may cast significant doubt on the Group’s ability to continue as a going concern and, therefore, the Group may not be able to realize its assets and discharge its liabilities in the normal course of business.

The Group continues to explore and pursue other business relationships with local and foreign entities to ensure the maximum exposure and monetization of its content assets. To continue to be of service to the Filipino and its audiences worldwide, the Parent Company launched its Kapamilya Channel on cable TV, and subsequently, its digital streaming channel “Kapamilya Online Live”. The Parent Company also entered into partnerships and licensing agreements with various local and international companies to broaden its reach. These initiatives diversified and grew its revenue for content production and distribution to ₱11.9 billion in 2024.

Management assessed that the Group will be able to maintain its positive cash position and settle its liabilities as they fall due within the next 12 months through management’s plans on future actions as discussed in Note 3.

Lopez Inc., a Philippine entity, has 56% economic interest in the Parent Company, with 79% voting rights. Lopez, Inc. is the ultimate parent company.

The common shares of ABS-CBN were listed beginning July 8, 1992 and have been traded in the Philippine Stock Exchange (PSE) since then.

The registered office address of the Parent Company is ABS-CBN Broadcast Center, Sgt. Esguerra Avenue corner Mother Ignacia St., Quezon City.

2. Material Accounting Policies Information

Basis of Preparation

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for investments in equity shares and club shares, which have been measured at fair value, and land under property and equipment, which have been carried at revalued amount.

The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency. All values are rounded to the nearest thousand, except for number of shares, per share amounts and when otherwise indicated.

Statement of Compliance

The consolidated financial statements of the Group were prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Changes in Accounting Policies and Disclosures

Several amendments and interpretations apply for the first time in 2024, but do not have an impact on the consolidated financial statements of the Group, unless otherwise indicated. The Group has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Basis of Consolidation and Noncontrolling Interests

The consolidated financial statements include the financial statements of the Parent Company and its subsidiaries.

The following is a list of the subsidiaries as at September 30, 2025 and December 31, 2024:

Company	Place of Incorporation	Principal Activities	Functional Currency	Effective Interest
Content Production and Distribution				
<i>Global:</i>				
ABS-CBN Global Ltd. (ABS-CBN Global) ^{(a) (i)}	Cayman Islands	Holding company	United States dollar (USD)	100.0
ABS-CBN Europe Ltd. (ABS-CBN Europe) ^{(b)(c) (i) (dd)}	United Kingdom	Cable and satellite programming services	Great Britain pound (GBP)	100.0
ABS-CBN Japan, Inc. (ABS- CBN Japan) ^{(d) (i)}	Japan	Cable and satellite programming services	Japanese yen (JPY)	100.0
ABS-CBN Middle East FZ-LLC (ABS-CBN Middle East) ^{(b) (i)}	Dubai, UAE	Cable and satellite programming services	United Arab Emirates dirham (AED)	100.0
ABS-CBN Global Hungary Kft. (ABS-CBN Hungary) ⁽ⁱ⁾	Budapest, Hungary	Holding company	USD	100.0
Makati Kft. ⁽ⁱ⁾	Budapest, Hungary	Holding company	USD	100.0
ABS-CBN International, Inc. (ABS-CBN International) ^{(i) (n)}	California, USA	Cable and satellite programming services	USD	100.0
ABS-CBN Australia Pty. Ltd. (ABS-CBN Australia) ^{(i) (k)}	Victoria, Australia	Cable and satellite programming services	Australian dollar (AUD)	100.0
ABS-CBN Canada, ULC (ABS-CBN Canada) ^{(i) (k)}	Canada	Cable and satellite programming services	Canadian dollar (CAD)	100.0
ABS-CBN Telecom North America, Inc. ^{(i) (k)}	California, USA	Telecommunications	USD	100.0
<i>Films and Music:</i>				
ABS-CBN Film Productions, Inc. (ABS-CBN Films)	Philippines	Movie production	Philippine peso	100.0
Cinescreen, Inc. (Cinescreen) ^(f)	Philippines	Theater operator	Philippine peso	100.0
<i>Narrowcast</i>				
Creative Programs, Inc. (CPI) ^(v)	Philippines	Content development, publishing and programming services	Philippine peso	100.0
<i>Others:</i>				
ABS-CBN Europe Remittance Inc. ^{(d) (i) (y) (cc)}	United Kingdom	Services - money remittance	GBP	100.0
E-Money Plus, Inc. ^(b)	Philippines	Services - money remittance	Philippine peso	100.0
ABS-CBN Global Remittance Inc. ^{(i) (k) (y)}	California, USA	Services - money remittance	USD	100.0
ABS-CBN Canada Remittance Inc. ^{(i) (n) (y)}	Canada	Services - money remittance	CAD	100.0
ABS-CBN Center for Communication Arts, Inc. ^(e)	Philippines	Educational/training	Philippine peso	100.0
ABS-CBN Global Cargo Corporation ⁽ⁱ⁾	Philippines	Non-vessel operations common carrier	Philippine peso	100.0
ABS-CBN Integrated and Strategic Property Holdings, Inc.	Philippines	Real estate	Philippine peso	100.0
ABS-CBN Shared Service Center PTE. Ltd. ^{(i) (m)}	Singapore	Services - support	Singapore dollar (SGD)	100.0
Professional Services for Television & Radio, Inc.	Philippines	Services - production	Philippine peso	100.0
Grassfed Corporation	Philippines	Services - livestock	Philippine peso	100.0
Probabilistic Insights, Inc. ^(aa)	Philippines	Services - support	Philippine peso	100.0
Rosetta Holdings Corporation (RHC)	Philippines	Holding company	Philippine peso	100.0
Callirrhoe, Inc.	Philippines	Holding company	Philippine peso	100.0
Eukelade Holding Corporation	Philippines	Holding company	Philippine peso	100.0
Sarimanok News Network, Inc.	Philippines	Content development and programming services	Philippine peso	100.0
The Big Dipper Digital Content & Design, Inc. (Big Dipper)	Philippines	Digital film archiving and central library, content licensing and transmission	Philippine peso	100.0
The Chosen Bun, Inc. (Chosen Bun) ^(z)	Philippines	Services - restaurant and food	Philippine peso	100.0
TV Food Chefs, Inc. ^(bb)	Philippines	Services - restaurant and food	Philippine peso	100.0
iConnect Convergence, Inc.	Philippines	Service - call center	Philippine peso	100.0
ABS-CBN Studios, Inc.	Philippines	Production facility	Philippine peso	100.0
Medianow Strategies, Inc. (Medianow) ^(x)	Philippines	Marketing, sales and advertising	Philippine peso	79.7
Sapientis Holdings Corporation (Sapientis)	Philippines	Holding company	Philippine peso	100.0
Columbus Technologies, Inc. (CTI) ^(q)	Philippines	Holding company	Philippine peso	70.0

(Forward)

Company	Place of Incorporation	Principal Activities	Functional Currency	Effective Interest
ABS-CBN Convergence, Inc. (ABS-C) ^(a)	Philippines	Telecommunication	Philippine peso	69.3
ABS-CBN Theme Parks and Resorts Holdings, Inc. (ABS-CBN Theme Parks)	Philippines	Holding company	Philippine peso	100.0
ABS-CBN Themed Experiences, Inc. (ABS-CBN Themed Experiences) ^{(u)(bb)}	Philippines	Management of locations	Philippine peso	100.0
Play Innovations, Inc. (PII) ^{(g)(bb)}	Philippines	Theme park	Philippine peso	73.0
Play Innovations Hungary Kft. (Play Innovations) ^{(i)(g)}	Budapest, Hungary	Theme park	USD	73.0
Cable and Broadband				
Sky Vision Corporation (Sky Vision) ^(w) (see Note 4)	Philippines	Holding Company	Philippine peso	75.0
Sky Cable Corporation (Sky Cable) ^(w) (see Note 4)	Philippines	Cable television services	Philippine peso	59.4
Bisaya Cable Television Network, Inc. ^{(b)(i)(w)}	Philippines	Cable television services	Philippine peso	59.4
Bright Moon Cable Networks, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Cavite Cable Corporation ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Cepsil Consultancy and Management Corporation ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Davao Cableworld Network, Inc. ^{(b)(o)(w)}	Philippines	Cable television services	Philippine peso	59.4
HM Cable Networks, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
HM CATV, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Hotel Interactive Systems, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Isla Cable TV, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Moonsat Cable Television, Inc. ^{(b)(o)(w)}	Philippines	Cable television services	Philippine peso	59.4
Pilipino Cable Corporation (PCC) ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Satellite Cable TV, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Sun Cable Holdings, Incorporated (SCHI) ^{(b)(w)}	Philippines	Holding company	Philippine peso	59.4
Sun Cable Systems Davao, Inc. ^{(b)(i)(w)}	Philippines	Cable television services	Philippine peso	59.4
Sunvision Cable, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Tarlac Cable Television Network, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	59.4
Telemondial Holdings, Inc. ^{(b)(i)(w)}	Philippines	Holding company	Philippine peso	59.4
JMY Advantage Corporation ^{(b)(w)}	Philippines	Cable television services	Philippine peso	56.4
Cebu Cable Television, Inc. ^{(b)(o)(p)(w)}	Philippines	Cable television services	Philippine peso	57.4
Suburban Cable Network, Inc. ^{(b)(w)}	Philippines	Cable television services	Philippine peso	54.9
Pacific CATV, Inc. (Pacific) ^{(b)(o)(w)}	Philippines	Cable television services	Philippine peso	58.0
First Ilocandia CATV, Inc. ^{(b)(o)(w)}	Philippines	Cable television services	Philippine peso	54.9
Mactan CATV Network, Inc. ^{(b)(o)(p)(w)}	Philippines	Cable television services	Philippine peso	56.6
Discovery Mactan Cable, Inc. ^{(b)(s)(w)}	Philippines	Cable television services	Philippine peso	41.6
Home-Lipa Cable, Inc. ^{(b)(s)(w)}	Philippines	Cable television services	Philippine peso	35.6

With branches in the Philippines and Taiwan

(a) Through ABS-CBN Global

(b) With branches in Italy and Spain

(c) Subsidiary of ABS-CBN Europe

(d) Nonstock ownership interest

(e) On June 5, 2017, the SEC approved the incorporation of Cinescreen. Cinescreen was established primarily to own, acquire, establish, lease, maintain, operate, manage, control, promote, advertise, undertake and carry on the business of theatres, movie houses and places of public amusement and entertainment.

(f) Through ABS-CBN Theme Parks

(g) Through Sky Cable

(h) Subsidiary of SCHI

(i) Considered as foreign subsidiary

(j) Subsidiary of ABS-CBN International

(k) With a branch in Luxembourg

(l) With a regional operating headquarters in the Philippines

(m) Through ABS-CBN Hungary

(n) Subsidiary of PCC

(o) Through Pacific

(p) Through Sapientis

(q) With branch in Korea

(r) A subsidiary of Sky Cable where Sky Cable effectively owns more than 50% interest

(s) In liquidation

(t) On July 7, 2017, the SEC approved the incorporation of ABS-CBN Themed Experiences. ABS-CBN Themed Experiences was established primarily to design, build, develop, manage, operate and maintain theme and amusement parks, hotels, restaurants, coffee shops, refreshment parlors and other attractions and facilities.

(u) On September 18, 2018, the SEC approved the merger of CPI and ABS-CBN Publishing with the former being the surviving entity.

- (v) *In 2012, ABS-CBN acquired additional interest in Sky Vision increasing its economic interest to 24.8%. On the same year, Lopez, Inc. also executed a proxy in favor of ABS-CBN assigning its voting rights in Sky Vision. As a result, ABS-CBN has a voting interest of 75% in Sky Vision since 2012. Sky Vision is the holding company of Sky Cable, where ABS-CBN has an economic interest of 57.4% in 2014. In 2015, ABS-CBN purchased additional shares in Sky Vision increasing its economic interest on Sky Vision and Sky Cable to 75% and 59.4%, respectively.*
- (w) *In 2014, CPI and Sky Cable entered into an agreement to form a joint venture company. Medianow, which was incorporated on August 22, 2014, is 78.7% effectively owned by the Group in 2014. As a result of the acquisition of additional interest in Sky Vision, economic interest on Medianow increased to 79.7% in 2015.*
- (x) *On June 30, 2018, ABS-CBN Europe Remittance Inc., ABS-CBN Global Remittance Inc. and ABS-CBN Canada Remittance Inc. ceased operations.*
- (y) *On March 12, 2019, the SEC approved the incorporation of Chosen Bun. Chose Bun was established primarily to raise, process, manufacture and package all kinds of food products; to establish, operate, manage and maintain restaurants, coffee shops, and refreshments parlors; to serve and cater foods, drinks, refreshments and other food or commodities.*
- (z) *On June 18, 2019, the SEC approved the incorporation of Probabilistic Insights, Inc. Probabilistic Insights, Inc. was established primarily to provide software products and data science services including but not limited to management consulting, marketing services such as direct marketing, database marketing, workshop facilitation and marketing training.*
- (aa) *The Group decided to wind-down its food and beverage and experience operations in July 2020.*
- (bb) *On December 21, 2021, ABS-CBN Europe Remittance Inc closed.*
- (cc) *In April 2022 and July 2021, ABS-CBN Europe closed its branches in Italy and Spain, respectively.*

The financial statements of the subsidiaries are prepared for the same reporting year as the Parent Company, using consistent accounting policies. All significant intra-group balances, transactions, income and expenses and profits and losses are eliminated in full during consolidation.

Noncontrolling interests represent the portion of profit or loss and net assets not held by the Parent Company and are presented separately from Equity attributable to equity holders of the Parent Company in the consolidated financial statements. This includes the equity interests in Sky Vision, Sky Cable and its subsidiaries, subsidiaries of Sapientis, ABS-CBN Theme Parks and Medianow.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the noncontrolling interests, even if this results in the noncontrolling interests having a deficit balance.

Business Combination and Goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any noncontrolling interest in the acquiree. For each business combination, the acquirer measures the noncontrolling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs incurred are expensed and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss. It is then considered in the determination of goodwill.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration which is deemed to be an asset or liability, will be recognized in profit or loss. If the contingent consideration is classified as equity, it should not be remeasured until it is finally settled within equity.

Goodwill acquired in a business combination is initially measured at cost being the excess of the cost of business combination over the interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in the consolidated statement of income.

If the initial accounting for business combination can be determined only provisionally by the end of the period by which the combination is effected because either the fair value to be assigned to the acquiree's identifiable assets, liabilities or contingent liabilities or the cost of the combination can be determined only provisionally, the Group accounts for the combination using provisional values. Adjustment to these provisional values as a result of completing the initial accounting shall be made within 12 months from the acquisition date. The carrying amount of an identifiable asset, liability, or contingent liability that is recognized from that date and goodwill or any gain recognized shall be adjusted from the acquisition date by the amount equal to the adjustment to the fair value at the acquisition date of the identifiable asset, liability or contingent liability being recognized or adjusted.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash-generating unit retained.

Foreign Currency Translation and Transaction

Functional and Presentation Currency

The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency. Each entity determines its own functional currency, which is the currency that best reflects the economic substance of the underlying events and circumstances relevant to that entity, and items included in the financial statements of each entity are measured using that functional currency.

The functional currency of all the subsidiaries, except foreign subsidiaries, is the Philippine peso. The functional currencies of the foreign subsidiaries are disclosed under the Basis of Consolidation section. As at financial reporting date, the assets and liabilities of foreign subsidiaries are translated into the presentation currency of the Parent Company (the Philippine peso) at the rate of exchange ruling at financial reporting date and, their statements of income are translated at the weighted average exchange rates for the year. The exchange differences arising on the translation are taken directly to "Exchange differences on translation of foreign operations" in the OCI and "Exchange differences on translation of foreign operations" account within the equity section of the consolidated statement of financial position. Upon disposal of any of these foreign subsidiaries, the deferred cumulative amount recognized in equity relating to that particular foreign subsidiary will be recognized in the consolidated statement of income. Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are initially recorded in the functional currency exchange rate ruling at the date of the transactions. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency closing exchange rate at a financial reporting date.

All differences are taken to the consolidated statement of income. Nonmonetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Fair Value Measurement

The Group measures financial instruments at fair value at each financial reporting date.

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at every financial reporting date. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Financial Instruments

Date of recognition

Financial instruments are recognized in the consolidated statement of financial position when the Group becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace are recognized using trade date accounting. Derivatives are recognized on trade date accounting.

Financial Assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, and subsequently measured at amortized cost, FVOCI, and fair value through profit or loss (FVTPL).

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under PFRS 15, *Revenue from Contracts with Customers*

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cashflows that are not SPPI are classified and measured at FVTPL, irrespective of the business model.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories: financial assets at amortized cost (debt instruments), financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments), financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments), and financial assets at FVTPL.

Financial assets at amortized cost (debt instruments)

This category is the most relevant to the Group. The Group measures financial assets at amortized cost if both of the following conditions are met:

- the financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

This category includes the Group's cash and cash equivalents, short-term investments, trade and other receivables and deposits (included under "Other noncurrent assets" account).

Financial assets designated at FVOCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under PAS 32, *Financial Instruments: Presentation* and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognized as other income in the statement of profit or loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVOCI are not subject to impairment assessment.

The Group elected to classify irrevocably its listed and non-listed equity investments and investments in club shares under this category.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized (i.e., removed from the Group's consolidated statement of financial position) when:

- the rights to receive cash flows from the asset have expired; or
- the Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognize the transferred asset to the extent of its continuing involvement. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Impairment

The Group recognizes an expected credit loss (ECL) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flow will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms. ECLs are recognized in two stages. For credit exposures, for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss

allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash and cash equivalents and short-term investments, the Group applies a general approach in calculating ECLs. The Group recognizes a loss allowance based on either 12-month ECL or lifetime ECL, depending on whether there has been a significant increase in credit risk on its cash and cash equivalents and short-term investments since initial recognition.

For trade and other receivables and contract assets, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group considers the financial asset in default when contractual payments are generally 120 to 180 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flow.

Financial Liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities are trade and other payables, interest-bearing loans and borrowings, obligations for program rights, convertible note and customers' deposits (included under "Other noncurrent liabilities" account).

Subsequent measurement

Measurement of financial liabilities depends on their classification and are classified into two categories: financial liabilities at FVTPL and financial liabilities at amortized cost.

Financial Liabilities at amortized cost

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included under "Finance costs" account in the consolidated statement of income.

Classified under this category are trade and other payables, interest-bearing loans and borrowings, obligations for program rights, convertible note and customers' deposits (included under "Other noncurrent liabilities" account).

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statement of income.

Offsetting Financial Instruments

Financial assets and financial liabilities are offset with the net amount reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Inventories

Inventories are valued at the lower of cost and net realizable value. Cost is determined using the moving average method. Net realizable value of inventories that are for sale is the selling price in the ordinary course of business, less the cost of marketing and distribution. Net realizable value of inventories not held for sale is the current replacement cost.

Noncurrent Assets Held for Sale

Noncurrent assets is classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset, excluding finance costs and income tax expense.

The criteria for held for sale classification is regarded as met only when the sale is highly probable, and the asset or disposal group is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the asset, and the sale is expected to be completed within one year from the date of the classification.

Property, plant and equipment and intangible assets are not depreciated or amortized once classified as held for sale. Assets and liabilities classified as held for sale are presented separately as current items in the consolidated statement of financial position.

Property and Equipment

Property and equipment, except land, are carried at cost (including capitalized interest), excluding the costs of day-to-day servicing, less accumulated depreciation, amortization and any impairment in value. Such cost includes the cost of replacing part of such property and equipment when that cost is incurred if the recognition criteria are met.

When each major inspection is performed, its cost is recognized in the carrying amount of the property and equipment as a replacement if the recognition criteria are satisfied.

Land is initially measured at cost. After initial recognition, land is carried at revalued amounts, being its fair value at the date of revaluation, less any subsequent impairment losses. Valuations are performed every three to five years or more frequently if deemed necessary to ensure that the fair value of the revalued asset does not differ materially from its carrying amount.

The increase in the valuation of land, net of deferred income tax liability, is credited to “Revaluation increment” under equity in the consolidated statements of financial position and recognized as OCI in the consolidated statements of comprehensive income, except to the extent that it reverses a revaluation decrease of the same asset previously recognized in profit or loss, in which case, the increase is recognized in profit or loss. A revaluation deficit is recognized in profit or loss, except to the extent that it offsets an existing surplus on the same asset recognized in the “Revaluation increment” account. Upon disposal, the relevant portion of the revaluation increment realized in respect of the previous valuation will be released from the revaluation increment in OCI directly to retained earnings.

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are initially measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The initial cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories.

Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of their estimated useful life and lease term. Right-of-use assets are subject to impairment.

Depreciation and amortization are computed on a straight-line method over the following useful lives of property and equipment:

Asset Type	Number of Years
Land improvements	5 to 10
Buildings and improvements	12 to 50
Towers, transmission, television, radio, movie and auxiliary equipment	5 to 20
Right-of-use assets	5 to 9
Other equipment	3 to 25

The property and equipment’s residual values, useful lives and method of depreciation and amortization are reviewed, and adjusted if appropriate, at each financial reporting date.

Effective January 1, 2024, in view of the change in the expected pattern of economic benefits of the assets, the Group revised the estimated useful life of its buildings (see Note 3).

Construction in-progress represents equipment under installation and building under construction and is stated at cost, which includes cost of construction and other direct costs. Construction in-progress is not depreciated until such time that the relevant assets are completed and become available for operational use.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statement of income in the year the asset is derecognized.

Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. If payment for an intangible asset is deferred beyond normal credit terms, its cost is the cash price equivalent. The difference between this amount and the total payments is recognized as interest expense over the period of credit. The cost of intangible assets acquired in a business combination is the fair value as at the date of acquisition. The useful lives of intangible assets are assessed to be either finite or indefinite. Following initial recognition, intangible assets are carried at cost less any accumulated amortization in the case of intangible assets with finite lives, and any accumulated impairment losses. Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and method for an intangible asset with a finite useful life is reviewed at least each financial reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization of intangible assets with finite lives is recognized in the consolidated statement of income in the expense category consistent with the function of the intangible asset.

Intangible assets with indefinite useful lives are tested for impairment annually or more frequently if an indication of impairment exists either individually or at the cash-generating unit level. Such intangibles are not amortized. Intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

Amortization of program rights is computed on a straight-line method over the following method:

Category	Policy
Specific run with specific terms	For fixed term program and film rights, amortized on a straight-line basis over the license term as indicated in the contract, regardless if program and film right is aired or not.
Multiple runs with specific terms	
Perpetual rights	For perpetuity program and film rights, amortized on a straight-line basis at the beginning of the term as indicated in the contract, regardless if the program and film right is aired or not, and shall run over a period of 15 years from the start of amortization.

The policies applied on other intangible assets are as follows:

Intangible Asset	Useful Lives	Amortization Method Used	Impairment Testing	Current and Noncurrent Classification
Movie In-process/Filmed Entertainment	Finite - 1 to 15 years	Amortized on accelerated method (i.e., majority of the cost is	If the unamortized film cost is higher than the fair value of the film, the asset is written down to its recoverable amount.	Based on the estimated year of usage

Intangible Asset	Useful Lives	Amortization Method Used	Impairment Testing	Current and Noncurrent Classification
		amortized upon showing and the remainder is over 15 years)		
Story and Publication	Finite (useful economic benefit) - 1 to 25 years	Amortized on a straight-line basis over the economic useful life	If the remaining expected benefit period is shorter than the Group's initial estimates, the Group accelerates amortization of the cost. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount.	Based on the estimated year of usage
Video Rights	Finite - six months	Amortized on a straight-line basis over six months	If the remaining expected benefit period is shorter than the Group's initial estimates, the Group accelerates amortization of the cost. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount.	Current
Customer Relationships	Finite - 3 to 25 years	Amortized on a straight-line basis over the estimated customer service life	If the remaining expected benefit period is shorter than the Group's initial estimates, the Group accelerates amortization of the cost. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount.	Noncurrent
Cable Channels - CPI	Finite - 10 years	Amortized on a straight-line basis over a period of 10 years	If the remaining expected benefit period is shorter than the Group's initial estimates, the Group accelerates amortization of the cost. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount.	Noncurrent

Intangible Asset	Useful Lives	Amortization Method Used	Impairment Testing	Current and Noncurrent Classification
Production and Distribution Business - Middle East	Finite - 25 years	Amortized on a straight-line basis over the period of 25 years	If the remaining expected benefit period is shorter than the Group's initial estimates, the Group accelerates amortization of the cost. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount.	Noncurrent
Trademarks	Finite - 15 years	Amortized on a straight-line basis over a period of 15 years	If the remaining expected benefit period is shorter than the Group's initial estimates, the Group accelerates amortization of the cost. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount	Noncurrent
IP Block	Indefinite	No amortization	Annually and more frequently when an indication of impairment exists. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount	Noncurrent
Business Process Re-engineering	Not yet available for use	No amortization	Annually and more frequently when an indication of impairment exists. Impairment loss is also recognized if the carrying value exceeds the asset's recoverable amount.	Noncurrent

Investment Properties

Investment properties are measured at cost, including transaction costs, less accumulated depreciation and any impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time the cost is incurred if the recognition criteria are met, and excludes day-to-day servicing of an investment property.

Investments in Associates

The Group's investments in associates are accounted for under the equity method of accounting. An associate is an entity over which the Group has significant influence or the power to participate in the

financial and operating policy decisions of the investee, but has no control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries.

Under the equity method, investment in associates is carried in the consolidated statement of financial position at cost plus post-acquisition changes in the Group's share in net assets of the associate. Goodwill relating to an associate is included in the carrying amount of the investment and is not tested for impairment. The consolidated statement of income reflects the Group's share on the financial performance of an associate. When the Group's share of losses in an associate equal or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognize further losses, unless it has incurred obligations or made payments on behalf of the associate. Where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of changes in equity.

Investments in Joint Ventures

A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control. The considerations made in determining joint control are similar to those necessary to determine control over subsidiaries.

The Group's investments in joint ventures are accounted for using the equity method. Under the equity method, the investment in a joint venture is carried in the consolidated statement of financial position at cost plus post-acquisition changes in the Group's share in net assets of the joint venture. Goodwill relating to the joint venture is included in the carrying amount of the investment and is neither amortized nor individually tested for impairment. The consolidated statement of income reflects the Group's share of the results of operations of the joint venture. Any change in the OCI of the joint venture is presented as part of the Group's OCI. In addition, when there has been a change recognized directly in the equity of the joint venture, the Group recognizes its share of any changes, when applicable, in the consolidated statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the joint venture are eliminated to the extent of the interest in the joint venture.

Impairment of Nonfinancial Assets

The Group assesses at each financial reporting date whether there is an indication that property and equipment, investment properties, program rights and other intangible assets with finite lives, investments in associates and joint ventures and tax credits may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value, less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in the consolidated statement of income in those expense categories consistent with the function of the impaired asset.

For assets, an assessment is made at each financial reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statement of income. After such a reversal, the depreciation and amortization are adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

The following criteria are also applied in assessing impairment of specific nonfinancial assets:

Intangible assets with indefinite life

Goodwill and IP block are reviewed for impairment, annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill and IP block by assessing the recoverable amount of the cash-generating units, to which the goodwill and IP block relates. Where the recoverable amount of the cash-generating unit (or group of cash-generating units) is less than the carrying amount of the cash-generating unit (or group of cash-generating units) to which the goodwill and IP block has been allocated, an impairment loss is recognized in the consolidated statement of income. Impairment losses relating to goodwill cannot be reversed for subsequent increases in its recoverable amount in future periods. The Group performs its annual impairment test of goodwill and IP block as at December 31 of each year.

Investments in associates and joint ventures

After application of the equity method, the Group determines whether it is necessary to recognize any additional impairment loss with respect to the Group's net investments in the associates and joint ventures. The Group determines at each financial reporting date whether there is any objective evidence that the investments in associates and joint ventures are impaired. If this is the case, the Group calculates the amount of impairment as being the difference between the recoverable amount of an investment in associate and joint ventures and the carrying value and recognizes the loss as part of "Equity in net earnings (losses) of associates and joint ventures" in the consolidated statement of income.

Paid-in Capital

The Group has issued par value capital stock that is classified as equity. Incremental costs directly attributable to the issuance of new capital stock are shown in equity as a deduction, net of tax, from the proceeds.

When the Group issues its par value shares, the proceeds shall be credited to the "Capital stock" account in the consolidated statement of financial position to the extent of the par value, with any excess being reflected as "Additional paid-in capital" in the consolidated statement of financial position.

Where the Group purchases its capital stock and Philippine Depositary Receipts (PDRs) issued by ABS-CBN Holdings that are convertible to Parent Company common shares (recorded as "Treasury shares and PDRs convertible to common shares" account in the consolidated statement of financial position), the consideration paid, including any directly attributable incremental costs (net of applicable taxes) is deducted from equity attributable to the equity holders of the Parent Company until the shares are cancelled or reissued. Where such shares are subsequently reissued, any

consideration received, net of any directly attributable incremental transaction costs and the related tax effects, is included in equity attributable to the equity holders of the Parent Company.

Deficit

Deficit includes cumulative balance of net income or loss attributable to the equity holders of the Parent Company and reduced by dividends on capital stock.

Deficit may also include effect of changes in accounting policy as may be required by the standard's transitional provisions.

Deposit for future subscription

Deposit for future subscription accounts represents funds received by the Group which it records as such with a view to applying the same as payment for additional issuance of shares or increase in capital stock. Deposits for future subscription is reported as part of the statement of changes in equity and as a separate item in the equity section of the statement of financial position, if the following criteria are met, otherwise, this is classified as a current liability:

- the unissued authorized capital stock of the entity is insufficient to cover the number of shares indicated in the contract
- there is BOD's approval on the proposed increase in authorized capital stock (for which a deposit was received by the Group);
- there is stockholders' approval of said proposed increase; and
- the application for the approval of the proposed increase has been filed with the SEC on or before the financial reporting date.

Revenue Recognition

Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent.

Revenue is recognized when the Group satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognized is the amount allocated to the satisfied performance obligation.

The disclosures of significant accounting judgments, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3.

The following specific recognition criteria must also be met before revenue is recognized:

Advertising revenue

Revenue is recognized at a point in time when advertisement is aired or when the campaign has ended. Under PFRS 15, bonus spots are considered as separate performance obligations. Accordingly, transaction price shall be separately allocated to bonus spots based on standalone selling price and recognized as revenue when these are aired.

The Group receives non-cash considerations (such as program materials, merchandise or services) from certain customers in exchange for advertising time. The fair value of such non-cash considerations received from the customers is included in the transaction price and measured upon airing of the advertisement.

The Group applies the requirements of PFRS 13, *Fair Value Measurement* in measuring the fair value of the non-cash considerations. If the fair value cannot be reasonably estimated, the non-cash consideration is measured indirectly by reference to the standalone selling price of the advertisements when aired.

Industry rules allow ABS-CBN to sell up to 19 minutes of commercial spots per hour of television programming. These spots are sold mainly through advertising agencies which act as the buying agents of advertisers, and to a lesser extent, directly to advertisers. Agency commissions are recognized at a standard rate of 15%.

Incentives, which include volume discounts for large quantities of telecast order, are recognized upon airing.

Payments received before broadcast (pay before broadcast) represent customer deposits, which are recognized as revenue upon airing of related advertisements. These are included in the consolidated statement of financial position as part of “Contract liabilities”.

Sale of services

Sale of services comprise of the following:

- a. Subscription fees are recognized as follows:

DTH and Internet Protocol Television Subscribers and Cable Operators

Subscription fees are recognized over the subscription period in accordance with the terms of the subscription agreements.

Share in DirecTV Subscription Revenue

Subscription revenue from subscribers of DirecTV who subscribe to the “The Filipino Channel” is recognized over time in accordance with the Deal Memorandum as discussed in Note 33.

Subscription Revenue from TFC.tv (formerly TFC Now)

Payment from online streaming services of Filipino-oriented content and programming received in advance is deferred (included as “Contract liabilities” in the consolidated statement of financial position) and recognized as revenue on a straight-line basis over the period during which the service is rendered.

Cable and Broadband Subscribers

Subscription and related installation fees are recognized over the subscription period and estimated length of customer relationship, respectively, in accordance with the terms of the subscription agreements. Subscription and related installation fees billed and collected in advance are deferred and shown as part of “Contract liabilities” and recognized as revenue when service is rendered.

Sky Cable offers bundled cable and broadband services and is assessed as two separate performance obligations. The performance obligations to deliver cable television and broadband services on a monthly basis qualify as performance obligations satisfied over time since the customer simultaneously receives and consumes the benefit provided by the Group’s performance.

- b. Installation service fees are recognized over the estimated customer relationship period.
- c. Income from film exhibition is recognized on the dates the films are shown.

- d. Royalty income is recognized at a point in time upon rendering of service based on the terms of the agreement and is reduced to the extent of the share of the composers or co-publishers of the songs produced for original sound recording. It also includes income from Parent Company's share in fees from endorsements and other external services of its talents equivalent to 10% of gross receipts.
- e. Ancillary rights, which pertain to income from TV rights and cable rights, are recognized either outright or over the license period. The Group recognizes revenue over the license period if all of the following criteria are met; otherwise, revenue is recognized outright:
 - the contract requires, or the customer reasonably expects, that the Group will undertake activities that significantly affect the intellectual property to which the customer has rights
 - the rights granted by the license directly expose the customer to any positive or negative effects of the Group's activities
 - those activities do not result in the transfer of a good or a service to the customer as those activities occur.
- f. Service fee revenue are recognized at a point in time when these services are rendered.
- g. Sponsorship revenue are recognized at a point in time when sponsorship services are rendered.
- h. Admission revenue and ticket sales are recognized at a point in time when tickets are used or expired. Tickets issued are initially recorded as contract liabilities.
- i. Other revenues include fees for IPTV reauthorization, restocking, shipping and activation, publishing revenue and remittance revenue. Revenue is recognized at a point in time when these services are rendered.
- j. Sale of goods is recognized at a point in time when delivery has taken place and control has been completed. These are stated net of sales discounts.

Other Revenue

Other revenue is recognized when:

- a. Rental income is recognized as income on a straight-line basis over the lease term.
- b. Channel lease revenue is recognized as income on a straight-line basis over the lease term.
- c. Interest income is recognized on a time proportion basis that reflects the effective yield on the asset.
- d. Dividends are recognized when the shareholders' right to receive payment is established.

Contract Balances

Trade receivables

A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to the accounting policies of Financial Instruments section.

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. Contract liabilities are recognized as revenue when the Group performs under the contract.

Incremental Costs to Obtain a Contract

The Group incurs certain incremental costs to obtain a contract with a customer that would not have been incurred if the contract had not been entered into. Under PFRS 15, these are recognized as incremental costs of obtaining a contract and are capitalized as an asset if the costs are expected to be recoverable. These costs are amortized on a systematic basis that is consistent with the Group's transfer of the related goods or services to the customer. The Group applies the practical expedient to immediately expense contract costs that are expected to be amortized within one year or less. Sky Cable is precluded from availing the practical expedient because the amortization period of its contract cost asset is more than one year.

Costs incurred prior to obtaining contract with customer are not capitalized but are expensed as incurred.

Capitalized contract costs are subject to an impairment assessment at the end of each reporting period. Impairment losses are recognized in profit or loss.

Cost and Expense Recognition

Cost and expenses are decreases in economic benefits during the accounting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distribution to equity participant. Cost and expenses other than those with specific policies are recognized in the consolidated statement of income in the year these are incurred.

Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Lease liability

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases

The Group applies the short-term lease recognition exemption to its short-term leases of equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases are recognized as expense on a straight-line basis over the lease term.

Group as Lessor

Leases where the Group does not transfer substantially all the risk and benefits of ownership of the asset are classified as operating lease. Initial direct cost incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same bases as rental income.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

Borrowing Costs

Borrowing costs are capitalized if they are directly attributable to the acquisition, construction or production of a qualifying asset. Qualifying assets are assets that necessarily take a substantial period of time to get ready for its intended use or sale. To the extent that funds are borrowed specifically for the purpose of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization on that asset shall be determined as the actual borrowing costs incurred on that borrowing during the year, less any investment income on the temporary investment of those borrowings. To the extent that funds are borrowed generally and used for the purpose of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization shall be determined by applying a capitalizable rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to borrowings that are outstanding during the year, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs capitalized during the year shall not exceed the amount of borrowing costs incurred during that year.

Capitalization of borrowing costs commences when the activities necessary to prepare the asset for intended use are in progress and expenditures and borrowing costs are being incurred. Borrowing costs are capitalized until the asset is available for their intended use. If the resulting carrying amount of the asset exceeds its recoverable amount, an impairment loss is recognized. Borrowing costs include interest charges and other costs incurred in connection with the borrowing of funds, as well as exchange differences arising from foreign currency borrowings used to finance these projects, to the extent that they are regarded as an adjustment to interest costs.

All other borrowing costs are expensed as incurred in the year in which they occur.

Pension Costs and Other Employee Benefits

The Group's pension plans are funded (Parent Company, Sky Cable and PCC) and unfunded (other subsidiaries) defined benefit pension plans, except for ABS-CBN International, which has a defined

contribution pension plan. The cost of providing benefits under the defined benefit plans is determined separately for each plan using the projected unit credit actuarial valuation method.

Defined benefit pension plans

The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost
- Net interest on the net defined benefit obligation or asset
- Remeasurements of net defined benefit obligation or asset

Service costs which include current service costs, past service costs and gains or losses on nonroutine settlements are recognized as part of costs and expenses in the consolidated statement of income. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit obligation or asset is the change during the period in the net defined benefit obligation or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset.

Net interest on the net defined benefit obligation or asset is recognized under costs and expenses in the consolidated statement of income.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit obligation) are recognized immediately in OCI in the period in which they arise and subsequently transferred to retained earnings. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations).

If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Defined contribution pension plans

For ABS-CBN International, the defined contribution pension plan is composed of the contribution of ABS-CBN International or employee (or both) to the employee's individual account. These contributions generally are invested on behalf of the employee through American Funds. Employees ultimately receive the balance in their account, which is based on contributions plus or minus

investment gains or losses. The value of each account will fluctuate due to changes in the value of investments.

The amount of the Group's contribution to the defined contribution pension plan is recognized as expense in the period incurred.

Termination benefit

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment before the normal retirement date as a result of either an entity's decision or an employee's decision to accept an offer of benefits in exchange for the termination of employment.

A liability and expense for a termination benefit is recognized at the earlier of when the entity can no longer withdraw the offer of those benefits and when the entity recognizes related restructuring costs. Initial recognition and subsequent changes to termination benefits are measured in accordance with the nature of the employee benefit, as either post-employment benefits, short-term employee benefits, or other long-term employee benefits.

Employee leave entitlement

Employee entitlements to annual leave are recognized as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before 12 months after the end of the annual reporting period is recognized for services rendered by employees up to the end of the reporting period. Liability for leaves expected to be settled beyond 12 months are recognized as part of the noncurrent portion of other employee benefits liability and measured at the present value of the benefit as at financial reporting date.

Taxes

Current tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the tax authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as at financial reporting date.

Current tax relating to items recognized directly in equity is recognized in equity and not in the consolidated statement of income.

Deferred tax

Deferred tax is provided, using the liability method, on all temporary differences at financial reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluations. Deferred tax assets are recognized for all deductible temporary differences, carryforward benefits of unused tax credits from excess minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient future taxable profit will be available against which the deductible temporary differences and carryforward benefits of unused tax credits from excess MCIT over RCIT and unused NOLCO can be utilized. Deferred tax, however, is not recognized when it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting nor taxable profit.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investments in domestic subsidiaries and associates. With respect to investments in other subsidiaries and associates, deferred tax liabilities are recognized except where the timing of the reversal of the

temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at each financial reporting date and reduced to the extent that it is no longer probable that sufficient future taxable profit will be available to allow all or part of the deferred income tax assets to be utilized. Unrecognized deferred tax assets are measured at each financial reporting date and are recognized to the extent that it has become probable that sufficient future taxable profit will allow the deferred tax to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted as at financial reporting date.

Deferred tax relating to items recognized outside profit and loss is recognized in correlation to the underlying transaction either in OCI or directly in equity and not in the consolidated statement of income.

Deferred tax assets and liabilities are offset, if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same tax authority.

Value-added tax (VAT)

Revenue, expenses and assets are recognized net of the amount of VAT, if applicable.

When VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as payable in the statement of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or services (output VAT), the excess is recognized as an asset in the statement of financial position to the extent of the recoverable amount.

Earnings (Loss) Per Share (EPS) attributable to the Equity Holders of the Parent Company

Basic EPS amounts are calculated by dividing the net income or loss (less preferred shares, if any) attributable to equity holders of the Parent Company for the year over the weighted average number of common shares outstanding (net of treasury shares and PDRs) during the year, with retroactive adjustments for any stock dividends and stock split.

Diluted EPS amounts are computed in the same manner, adjusted for the dilutive effect of any potential common shares. As the Group has no dilutive potential common shares outstanding, basic and diluted EPS are stated at the same amount.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

Segment Reporting

For management purposes, the Group's operating businesses are organized and managed separately into two (2) business activities. Such business segments are the bases upon which the Group reports its operating segment information. The Group operates in three (3) geographical areas where it derives its revenue. Financial information on segment reporting is presented in Note 5.

Future Changes in Accounting Policies

The standards, amendments and interpretations that are issued, but not yet effective as at December 31, 2024 are disclosed below. The Group intends to adopt these standards, if applicable, when these become effective. Adoption of these pronouncements is not expected to have a significant impact on the Group's consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *Lack of exchangeability*

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*
- PFRS 19, *Subsidiaries without Public Accountability*
- PFRS 18, *Presentation and Disclosure in Financial Statements*

The standard replaces PAS 1 Presentation of Financial Statements and responds to investors' demand for better information about companies' financial performance. The new requirements include:

- Required totals, subtotals and new categories in the statement of profit or loss
- Disclosure of management-defined performance measures
- Guidance on aggregation and disaggregation

The Group is currently assessing the impact of these amendments.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The Group continues to assess the impact of the new and amended accounting standards and interpretations effective subsequent to December 31, 2024 financial statements. Additional disclosures required by these amendments will be included in the consolidated financial statements when these amendments are adopted.

3. Management's Use of Judgments, Estimates and Assumptions

The Group's consolidated financial statements prepared under PFRSs require management to make judgments and estimates that affect amounts reported in the consolidated financial statements and related notes. Future events may occur which will cause the judgments and assumptions used in arriving at the estimates to change. The effects of any change in judgments and estimates are reflected in the consolidated financial statements as they become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The Group based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Going Concern Assessment

As discussed in Note 1, the Group incurred net losses of ₱6.1 billion, ₱12.8 billion and ₱2.6 billion for the years ended December 31, 2024, 2023 and 2022, respectively. The Group's current liabilities exceeded its current assets by ₱12.9 billion and ₱19.3 billion as of December 31, 2024 and 2023, respectively. The Parent Company was required to maintain certain financial ratios and the effectivity of the standstill provision in the Parent Company's Omnibus Intercreditor and Security Agreement with its lenders has only been extended until December 31, 2024 (the "Long Stop date"). With this, the Parent Company's interest-bearing loans have been classified as current. Despite the current classification of the interest-bearing loans, the Parent Company continues to service its loan obligations with its creditor banks according to the original maturity schedule. The Parent Company is in discussions with its lenders to address the effect of the expiry of the standstill, including, but not limited to, the waiver of financial ratios for 2024 and the long-stop date, and possible options for the early settlement of the loan through sale of certain assets. These conditions indicate that a material uncertainty exists that may cast significant doubt on the Group's ability to continue as a going concern and, therefore, the Group may not be able to realize its assets and discharge its liabilities in the normal course of business.

To address the impact of the factors which indicate that there is a material uncertainty in the Group's ability to continue as a going concern:

1. The Parent Company has continued its partnerships with various reputable companies that will allow ABS-CBN to broaden the reach of its free-to-air content.
2. The Group has continued to make strides in businesses that do not require a legislative franchise, such as licensing and distribution, live events, digital, movies, and cable businesses, as well as syndication of content through various streaming services and partners.
3. The Group has adopted and continues to implement cost control measures, reducing general and administrative expenses and employee costs.
4. The Parent Company continues to manage its debt service obligations. Using the proceeds from the sale of certain assets, the Parent Company prepaid a portion of its outstanding debt. To date, the Parent Company has ongoing discussions with its lenders to refinance its outstanding loans.
5. The Group continues to explore and pursue other business relationships with local and foreign entities to ensure the maximum exposure and monetization of its content assets.

Based on the plans above, Management assessed that the Group will be able to maintain its positive cash position and settle its liabilities as they fall due within 12 months from the end of the reporting period. Accordingly, the consolidated financial statements are prepared on a going concern basis.

Revenue from Contracts with Customers

The Group applied the following judgments that significantly affect the determination of the amount and timing of revenue from contracts with customers:

- a. *Identifying Performance Obligations.* The Group identifies performance obligations by considering whether the promised goods or services in the contract are distinct goods or services. A good or service is distinct when the customer can benefit from the good or service on its own or together with other resources that are readily available to the customer and the Group's promise to transfer the good or service to the customer is separately identifiable from the other promises in the contract.

Revenues earned from multiple element arrangements are split into separately identifiable performance obligations based on their relative standalone selling price to reflect the substance of the transaction.

In relation to the subscription business, Sky Cable offers bundled cable and broadband services and is assessed as two separate performance obligations. The performance obligations to deliver cable television and broadband services on a monthly basis qualify as performance obligations satisfied over time since the customer simultaneously receives and consumes the benefit provided by the Group's performance.

- b. *Revenue Recognition.* The Group recognizes revenue over time or at a point in time depending on its evaluation of when the customer obtains control of the promised goods or services.

The subscription revenue from cable and broadband service, because transfer of control is assessed to be over the contract period, is recognized monthly as the Group provides the service. The related installation service is not distinct from the cable and broadband service, revenue is recognized over the period the cable and broadband services are provided to the customer.

For licensing, judgment is exercised in determining whether the Group can recognize revenue outright or over the license period. The Group recognizes revenue over the license period if all of the following criteria are met; otherwise, revenue is recognized outright:

- the contract requires, or the customer reasonably expects, that the Group will undertake activities that significantly affect the intellectual property to which the customer has rights
- the rights granted by the license directly expose the customer to any positive or negative effects of the Group's activities
- those activities do not result in the transfer of a good or a service to the customer as those activities occur.

Revenues from other revenue streams are recognized at a point in time when control over goods or services is transferred.

Determination of Functional Currency

The Group's revenue from sales of goods and services are billed and collected in the various currencies. Directly associated costs of sales and services are likewise purchased and paid in substantially the same currencies. Based on the economic substance of the underlying circumstances relevant to the Group,

management has assessed that the Philippine Peso is the currency in which the Group substantially generates and disburses cash in the country in which it operates.

Further, each foreign subsidiary determines its functional currency (i.e., USD, EUR, JPY, CAD, GBP, AUD, AED, TWD, SGD or NZD). Thus, the accounts of foreign subsidiaries were translated to Philippine peso for purposes of consolidation to the Group's accounts.

Group as Lessee - Determination of lease term of contracts with renewal and termination options

The Group has several lease contracts that include extension and termination options. The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset).

The Group included the renewal period as part of the lease term for leases of office spaces and warehouses with shorter non-cancellable period (i.e., three to five years). The Group typically exercises its option to renew for these leases because there will be a significant negative effect on operations if a replacement asset is not readily available. Furthermore, the periods covered by termination options are included as part of the lease term only when they are reasonably certain not to be exercised.

Operating Leases - Group as Lessor

The Group has entered into various lease agreements as lessor. The Group had determined that the risks and rewards of ownership of the underlying property were retained by the Group. Accordingly, the leases are classified as an operating lease.

Assessment of assets as noncurrent asset held for sale

The criteria for noncurrent held for sale classification is regarded as met only when the sale is highly probable, and the asset is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn.

The Group entered into memorandum of agreements, asset purchase agreements, deed of absolute sale and other agreements for the various properties owned by the Group such as land, towers & transmitters and other assets. The closing of the agreements will be on a staggered basis depending on the satisfaction of the closing conditions which is expected to be completed in 2025. With this, we believe that the conditions were met that qualified the related assets to be reclassified as noncurrent held for sale.

Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the financial reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

Allowance for ECL

- a. *Definition of Default and Credit-Impaired Financial Assets.* Under PFRS 9, the Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:
 - *Quantitative Criteria.* The borrower is generally more than 120 to 180 days past due on its contractual payments, which is consistent with the Group's definition of default.

- *Qualitative Criteria.* The borrower meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:
 - a. The borrower is experiencing financial difficulty or is insolvent;
 - b. The borrower is in breach of financial covenant(s); or
 - c. It is becoming probable that the borrower will enter bankruptcy or other financial reorganization.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to model the probability of default (PD), loss given default (LGD) and exposure at default (EAD) throughout the Group's ECL calculation.

- b. *Simplified Approach for Trade Receivables and Contract Assets.* The Group uses a provision matrix to calculate ECLs for trade receivables and contract assets. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Group's historical observed default rates. The Group calibrates the matrix to adjust the historical credit loss experience with forward-looking information. At every financial reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

- c. *Macro-economic Forecasts and Forward-looking Information.* Macro-economic forecasts are determined by evaluating a range of possible outcomes and using reasonable and supportable information that is available without undue cost and effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

The Group takes into consideration different macro-economic variables to ensure linear relationship between internal rates and outside factors. Regression analysis was used to objectively determine which variables to use.

Predicted relationship between the key indicators and default and loss rates on various portfolios of financial assets have been developed based on analyzing historical data over the past 3 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group reviewed the conduct of its impairment assessment and ECL methodology. The Group also reassessed the framework for macroeconomic overlay, incorporating pandemic scenarios to ensure that changes in economic conditions are captured in the ECL calculations.

Provision for ECL amounted to ₱255.9 million and ₱236.5 million for the nine months ended September 30, 2025 and 2024, respectively. Trade and other receivables, net of allowance for ECL, amounted to ₱4.9 billion and ₱7.4 billion as at September 30, 2025 and December 31, 2024, respectively. Allowance for ECL amounted to ₱3.3 billion and ₱3.1 billion as at September 30, 2025 and December 31, 2024, respectively (see Note 7).

Group as Lessee - Estimating the Incremental Borrowing Rate

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for subsidiaries that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease (for example, when leases are not in the subsidiary's functional currency). The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the subsidiary's standalone credit rating).

Estimated Useful Lives of Property and Equipment, Investment Properties and Intangible Assets

The useful life of each item of the Group's property and equipment, investment properties and intangible assets with finite life is estimated based on the period over which the asset is expected to be available for use. Estimation for property and equipment and investment properties is based on a collective assessment of industry practice, internal technical evaluation and experience with similar assets while for intangible assets with finite life, estimated life is based on the life of agreement covering such intangibles or based on expected future benefits. The estimated useful life of each asset is reviewed periodically and updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of these assets. However, it is possible that future financial performance could be materially affected by changes in the estimates brought about by changes in the aforementioned factors. The amounts and timing of recording the depreciation and amortization for any year, with regard to the property and equipment, investment properties and intangible assets would be affected by changes in these factors and circumstances. A reduction in the estimated useful life of any of the property and equipment, investment properties or intangible assets would increase the depreciation and amortization expense and decrease non-current assets while an increase in the estimated useful life would decrease the depreciation and amortization expense and increase non-current assets.

In 2024, the Group changed the estimated remaining useful lives of its buildings in view of the change in the expected pattern of economic benefits of these assets. The change in useful life is accounted for prospectively starting 2024 as a change in accounting estimate, thereby decreasing the depreciation expense of the Group by ₱95.0 million in 2024 and for each succeeding year until the end of its useful life.

There were no changes in the estimated useful lives of property and equipment, investment properties and other intangible assets in 2023.

In 2022, there was a change in useful life of the Group's trademarks from indefinite life (for 2021 and prior years) to remaining useful life of 15 years to reflect the expected pattern of economic benefits from the assets based on management's assessment. This is accounted for prospectively starting 2022 as a change in accounting estimate, thereby increasing the amortization expense of the Group by ₱74 million in 2022 and for each succeeding year until the end of its useful life.

The carrying values of depreciable property and equipment, investment properties and intangible assets with finite life as at September 30, 2025 and December 31, 2024 are as follows (see Notes 10, 12 and 13):

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Property and equipment	₱8,716,629	₱9,992,930
Story and publication, video rights, and record master	510,594	513,868
Program rights	218,889	364,563
Movie in-process and filmed entertainment	127,600	132,730
Cable channels	80,570	111,022
Production and distribution business - Middle East	1,943	1,943
Investment properties	863	983

Revaluation of land

The Group engages accredited appraisers to determine the fair value of the land used in operations. Fair value is determined by reference to market-based evidence adjusted based on certain elements of comparison. The fair value amount would differ if the Group made different judgments and estimates or utilized a different basis for determining fair value.

Valuations by accredited appraisers are generally performed every three to five years or more frequently as deemed necessary to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

The revalued amount of land, which is classified under “Property and equipment” account in the statements of financial position, amounted to ₱7.2 billion and ₱7.3 billion as at September 30, 2025 and December 31, 2024, respectively. (see Note 11).

Estimation of Net Realizable Values of Inventories

Net realizable values of inventories are assessed regularly based on the prevailing selling prices of merchandise inventories less the estimated cost necessary to sell or current replacement cost for office supplies and materials and spare parts. Increase in the net realizable value will increase the carrying amount of inventories but only to the extent of their original acquisition costs.

Inventories amounted to ₱26.2 million and ₱28.1 million as of September 30, 2025 and December 31, 2024, respectively. Inventory loss amounted to nil and ₱0.2 million for the nine months ended in September 30, 2025 and 2024, respectively (see Note 8).

Present Value of Pension Obligation and Other Employee Benefits

The cost of defined benefit obligation is determined using actuarial valuations. The actuarial valuation involves making assumptions such as discount rates and future salary increases, among others. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each financial reporting date.

In determining the appropriate discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. Future salary increases are based on expected future inflation rates for the specific country.

Further details about the assumptions used are provided in Note 31.

Employee leave entitlement that is expected to be settled within one year from reporting date is classified as a current liability in the consolidated statement of financial position. Otherwise, this is

classified as part of the noncurrent portion of other employee benefits liability. Accrued pension obligation and other employee benefits of the Group amounted to ₱4.8 billion and ₱6.3 billion as at September 30, 2025 and December 31, 2024, respectively (see Note 31).

Taxes

Uncertainties exist with respect to the interpretation of complex tax regulations, changes in tax laws, and the amount and timing of future taxable income. Given the diversity of the Group's businesses and the long-term nature and complexity of existing contractual agreements or the nature of the business itself, changes in differences arising between the actual results and the assumptions made, or future changes to such assumptions, could necessitate future adjustments to tax income and expense already recorded. The Group establishes provisions, based on reasonable estimates, for possible consequences of audits by the tax authorities under which the Group operates. The amount of such provisions is based on various factors, such as experience of previous tax audits and differing interpretations of tax regulations by the taxable entity and the responsible tax authority. Such differences in interpretation may arise for a wide variety of issues depending on the conditions prevailing in the respective domicile or to the operations of the Group.

Deferred tax assets are recognized for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Management's assessment of the deferred tax assets to be recognized involves significant judgments and is based on assumptions regarding the entities' current performance, future plans for the business and tax planning strategies. Management exercised judgement on the financial forecast used in determining the forecasted taxable income of the entities, including the timing of reversal of future taxable and deductible temporary differences.

As at September 30, 2025 and December 31, 2024, the Group recognized gross deferred tax assets amounting to ₱1,704 million and ₱1,577 million, respectively. From these amounts, ₱1,499 million and ₱1,196 million as at September 30, 2025 and December 31, 2024, respectively, relate to significant subsidiaries that incurred net losses and/or are in a capital deficiency position. Management has determined that there is sufficient taxable profit against which these recognized deferred tax assets will be realized. The Group did not recognize deferred tax assets from the Parent Company and certain subsidiaries amounting to ₱44,595 million and ₱50,895 million as at September 30, 2025 and December 31, 2024, respectively, as management believes that sufficient future taxable profit will not be available to allow these deferred tax assets to be utilized (see Note 30).

Provisions and Contingencies

The Group is currently involved in various legal proceedings and periodic examinations by tax authorities, which may result in taxation issues due to different interpretation and implementation of the relevant laws and regulations. Significant estimates and judgments are made by management regarding the outcome of these legal proceedings and tax examinations. The Group's estimate of the costs of the resolution of these claims has been developed in consultation with their external legal counsels and considering the correspondences with relevant tax authorities and any relevant historical and recent judgments issued by the court or tax authorities. Any change on these assumptions and the estimates may have a material impact on the Group's consolidated financial statements.

4. Significant Acquisitions, Re-organization and Material Noncontrolling Interests

Significant Acquisitions and Re-organization

- a. Subscription Agreement between Sky Cable, Sky Vision, Sampaquita Communications PTE LTD (Sampaquita) and the Parent Company

On December 18, 2017, Sky Cable, Sky Vision, Sampaquita and the Parent Company entered into a subscription agreement with the following salient provisions:

- The Parent Company agreed to subscribe to 162,373,928 PDRs for ₱9.6853 per PDR from Sky Vision.
- Sky Cable agreed to offer 314,910,225 shares to its shareholders from an increase in capital stock. Sky Vision agreed to subscribe to 288,338,018 offered shares and the Parent Company agreed to subscribe to 26,572,207 offered shares for ₱9.6853 per share.

The Parent Company and Sampaquita agreed that the following aggregate economic interests shall be maintained:

- ABS-CBN, Lopez Holdings Corporation, Lopez, Inc. and Sky Vision shall have an aggregate economic interest of at least 59.4% of the total issued share capital of Sky Cable on a fully diluted basis; and
- Sampaquita shall have an aggregate economic interest of 40% of the total issued share capital of Sky Cable on a fully diluted basis.

On December 19, 2017, the Parent Company and Sky Vision paid Sky Cable their respective subscription for shares. The Parent Company and Sampaquita also paid Sky Vision their subscription for PDRs. The payment of Sampaquita of ₱1.3 billion is recorded as “Deposits for future subscription” under “Trade and Other Payables” account (see Note 18). As at September 30, 2025, the PDR instruments remain unissued.

Material Noncontrolling Interests

Financial information of subsidiaries that have material noncontrolling interests is provided below.

Proportion of Equity Interest Held by Noncontrolling Interests

Company	Place of Incorporation	Percentage	
		September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Sky Cable Corporation and Subsidiaries	Philippines	40.6%	40.6%
Sapientis Holdings Corporation and Subsidiaries	Philippines	30.7%	30.7%
ABS-CBN Theme Parks and Resorts Holdings, Inc. and Subsidiaries	Philippines	27.0%	27.0%

Accumulated Earnings (Losses) of Material Noncontrolling Interests

Group	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Sapientis Holdings Corporation and Subsidiaries	(₱2,417,823)	(₱2,418,934)
Sky Cable Corporation and Subsidiaries	(3,382,884)	(3,127,076)
ABS-CBN Theme Parks and Resorts Holdings, Inc. and Subsidiaries	(495,500)	(504,583)

Net Income (Loss) Attributable to Material Noncontrolling Interests

	Nine Months Ended September 30 (Unaudited)	
Company	2025	2024
Sky Cable Corporation and Subsidiaries	(P255,808)	(P179,553)
ABS-CBN Theme Parks and Resorts Holdings, Inc. and Subsidiaries	9,083	(917)
Sapientis Holdings Corporation and Subsidiaries	1,111	391

The summarized financial information of Sky Cable, Sapientis, and ABS-CBN Theme Parks are provided in the succeeding section. This information is based on amounts before intercompany eliminations and after fair value adjustments.

a. Sky Cable Corporation and Subsidiaries

Summarized Consolidated Statements of Financial Position

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash and cash equivalents	P115,317	P425,517
Other current assets	1,094,303	1,173,742
Land*	447,638	455,454
Other noncurrent assets	11,235,083	11,890,032
Current liabilities	(6,053,938)	(10,549,554)
Noncurrent liabilities	(6,342,794)	(2,441,281)

*Carried at cost at Sky's standalone financial statements. Balance here represents the revalued amount following the Parent Company's change in accounting policy for Land from cost model to revaluation model.

Summarized Consolidated Statements of Comprehensive Income

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Revenue	P2,624,284	P4,322,257
Cost of services	(2,768,360)	(4,194,242)
General and administrative expenses	(462,650)	(938,352)
Finance costs	(205,629)	(305,535)
Other income - net	57,094	561,791
Income (loss) before income tax	(755,261)	(554,081)
Provision for (benefit from) income tax	(170,676)	(136,017)
Net income (loss)	(584,585)	(418,064)
Other comprehensive income (loss)	-	(82,429)
Total comprehensive income (loss)	(P584,585)	(P500,493)

Summarized Consolidated Statements of Cash Flows

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Operating	₱182,866	₱1,367,933
Investing	(341,803)	(862,151)
Financing	(151,263)	(721,154)
Net decrease in cash and cash equivalents	(₱310,200)	(215,372)

b. Sapientis Holdings Corporation and Subsidiaries

Summarized Consolidated Statements of Financial Position

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash and cash equivalents	₱2,165	₱2,177
Other current assets	69,880	70,037
Other noncurrent assets	735,653	735,635
Current liabilities	(5,821,539)	(5,822,179)
Noncurrent liabilities	(3,007,664)	(3,007,664)

Summarized Consolidated Statements of Comprehensive Income

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
General and administrative expenses	₱-	(₱1,192)
Other income – net	492	(84)
Loss before income tax	492	(1,276)
Provision for income tax	3	–
Net income	489	(1,276)
Total comprehensive loss	₱489	(₱1,276)

Summarized Consolidated Statements of Cash Flows

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Operating	(₱12)	₱75
Investing	–	–
Net increase (decrease) in cash and cash equivalents	(₱12)	₱75

c. *ABS-CBN Theme Parks and Resorts Holdings, Inc. and Subsidiaries*

Summarized Consolidated Statements of Financial Position

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash and cash equivalents	₱1,797	₱1,954
Other current assets	45,084	44,991
Other noncurrent assets	25,268	29,248
Current liabilities	(1,428,211)	(1,431,138)
Noncurrent liabilities	(50,974)	(24,659)

Summarized Consolidated Statements of Comprehensive Income

	Nine Months Ended September 30 (Unaudited) 2025	2024
Revenue	₱—	(₱7,773)
General and administrative expenses	(1,998)	(2,750)
Finance costs	(25,251)	(22,768)
Other income – net	(6,945)	(611)
Loss before income tax	(34,194)	(33,902)
Benefit from income tax	1	—
Net loss	(34,195)	(33,902)
Total comprehensive loss	(₱34,195)	(₱33,902)

Summarized Consolidated Statements of Cash Flows

	Nine Months Ended September 30 (Unaudited) 2025	2024
Operating	(₱157)	(₱21)
Net decrease in cash and cash equivalents	(₱157)	(₱21)

5. **Segment Information**

Segment information is prepared on the following bases:

Business Segments

For management purposes, the Group is organized into two business activities - Content Production and Distribution and Cable and Broadband. This segmentation is the basis upon which the Group reports its primary segment information.

- Content production and distribution comprise entertainment, news and current affairs, global operations, film and music production, cable channels, publishing, content distribution through digital platforms, and live events and concerts. This consists of local and global content creation and distribution through television and radio broadcasting.

- Cable and Broadband includes cable television and broadband services in Metro Manila and in certain provincial areas in the Philippines.

Geographical Segments

The Group operates in three major geographical areas namely, the Philippines, United States and Other Countries. In the Philippines, its home country, the Group is involved in content production and distribution and pay TV. In the United States and in other locations (which include Middle East, Europe, Australia, Canada and Japan), the Group operates its cable and satellite operations to bring its produced content outside the Philippines.

The Group does not have revenue from transactions with a single external customer amounting to 10% or more of the Group's revenues.

Inter-segment Transactions

Segment revenue, segment expenses and operating results include transfers among business segments and among geographical segments. The transfers are accounted for at competitive market prices charged to unrelated customers for similar services. Such transfers are eliminated upon consolidation.

The Executive Committee, the Group's chief operating decision maker, monitors operating results of its business segments separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit and loss in the consolidated financial statements.

On a consolidated basis, the Group's performance is evaluated based on consolidated net income for the year, earnings before interest, taxes and depreciation and amortization (EBITDA) and EBITDA margin. EBITDA margin pertains to EBITDA divided by gross revenues.

EBITDA and EBITDA margin are non-PFRSs measures.

The Group recognized impairment losses amounting to ₱1,314 million and ₱57 million for Content Production and Distribution for the years ended December 31, 2024 and 2023, respectively. It also recognized impairment losses amounting to ₱2,692 million and ₱9,021 million for Cable and Broadband for the years ended December 31, 2024 and 2023, respectively.

The following table shows the reconciliation of the consolidated EBITDA to consolidated net loss:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Consolidated EBITDA	(₱161,498)	₱548,324
Depreciation and amortization	(1,274,812)	(1,867,219)
Amortization of intangible assets**	(269,696)	(402,410)
Finance costs*	(708,777)	(810,167)
Interest income	11,280	4,874
Provision for (benefit from) income tax	162,567	(60,458)
Impairment loss	(499)	(233)
Consolidated net loss	(₱2,241,435)	(₱2,587,289)

*Excluding bank service charges

**Excluding amortization of movie in-process and filmed entertainment, and production and distribution business

Business Segment Data

The following tables present revenue and income information for the nine months ended September 30, 2025 and 2024 and certain asset and liability information regarding business segments as of September 30, 2025 and December 31, 2024:

	Content Production and Distribution		Cable and Broadband		Eliminations		Consolidated	
	2025	2024	2025	2024	2025	2024	2025	2024
Revenue								
External sales	₱10,297,785	₱9,664,940	₱2,624,283	₱4,122,257	₱—	₱—	₱12,922,068	₱13,787,197
Inter-segment sales	792,003	980,530	—	—	(792,003)	(980,530)	—	—
Revenue deductions	(1,181,542)	(1,668,290)	—	—	9,395	—	(1,172,147)	(1,668,290)
Total revenue	₱9,908,246	₱8,977,180	₱2,624,283	₱4,122,257	(₱782,608)	(₱980,530)	₱11,749,921	₱12,118,907
Results								
Operating results	(₱1,719,125)	(₱3,159,152)	(₱606,727)	(₱810,337)	₱552,763	₱900,036	(₱1,773,089)	(₱3,069,453)
Finance costs	(587,304)	(546,610)	(205,630)	(305,535)	75,266	33,741	(717,668)	(818,404)
Foreign exchange gains (losses) – net	108,531	(14,680)	(1,079)	39,938	(96,531)	12,537	10,921	37,795
Interest income	162,911	36,890	241	1,467	(151,872)	(33,483)	11,280	4,874
Equity in net losses of associates and joint ventures	—	(3,844)	—	—	—	—	—	(3,844)
Other income – net	4,073,989	1,271,238	57,934	520,386	(4,067,369)	(469,423)	64,554	1,322,201
Income tax	(8,109)	(196,475)	170,676	136,017	—	—	162,567	(60,458)
Net income (loss)	₱2,030,893	(₱2,612,633)	(₱584,585)	(₱418,064)	(₱3,687,743)	₱443,408	(₱2,241,435)	(₱2,587,289)
EBITDA							₱161,498	₱548,324
EBITDA Margin							(1%)	4%
Assets and Liabilities								
Operating assets	₱30,005,678	₱31,011,194	₱11,382,385	₱12,463,558	(₱6,619,061)	(₱6,245,027)	₱34,769,002	₱37,229,725
Noncurrent assets held for sale	1,594,967	5,641,632	364,573	446,429	—	—	1,959,540	6,088,061
Investments in associates and joint ventures	11,078,489	11,681,053	—	—	(10,975,311)	(11,577,875)	103,178	103,178
Deferred tax assets	558,882	542,437	1,145,383	1,034,758	—	—	1,704,265	1,577,195
Total assets	₱43,238,016	₱48,876,316	₱12,892,341	₱13,944,745	(₱17,594,372)	(₱17,822,902)	₱38,535,985	₱44,998,159
Operating liabilities	₱14,484,800	₱14,595,037	₱6,739,972	₱7,237,005	(₱1,566,657)	(₱1,479,920)	₱19,658,115	₱20,352,122
Contract liabilities	1,289,028	1,611,635	308,041	314,584	(29,222)	—	1,567,847	1,926,219
Interest-bearing loans and borrowings	8,493,073	11,337,515	4,711,316	4,750,283	(270,000)	(270,000)	12,934,389	15,817,798
Deferred tax liability	2,121,078	3,943,849	270,248	—	—	—	2,391,326	3,943,849
Lease liabilities	501,451	495,958	367,155	392,304	(474,997)	(453,299)	393,609	434,963
Total liabilities	₱26,889,430	₱31,983,994	₱12,396,732	₱12,694,176	(₱2,340,876)	(₱2,203,219)	₱36,945,286	₱42,474,951
Other Segment Information								
Capital expenditures:								
Property and equipment	₱59,825	₱90,303	₱203,564	₱302,991	₱—	₱—	₱263,389	₱393,294
Intangible assets	175,079	660,837	—	19,617	—	—	175,079	680,454
Depreciation and amortization	1,268,454	2,135,686	975,456	1,933,542	(609,689)	(705,642)	1,634,221	3,363,586
Noncash expenses other than depreciation and amortization	34,443	(769)	258,002	327,586	—	—	292,445	326,817

Geographical Segment Data

The following tables present revenue and expenditure for the nine months ended September 30, 2025 and 2024 and certain asset information regarding geographical segments as of September 30, 2025 and December 31, 2024:

	Philippines		United States		Others	Eliminations		Consolidated		
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Revenue										
External sales	₱10,628,748	₱11,249,235	₱1,488,061	₱1,761,097	₱805,259	₱776,865	₱–	₱–	₱12,922,068	₱13,787,197
Inter-segment sales	792,003	980,530	–	–	-	–	(792,003)	(980,530)	-	–
Revenue deductions	(1,181,542)	(1,668,290)	–	–	-	–	9,395	–	(1,172,147)	(1,668,290)
Total revenue	₱10,239,209	₱10,561,475	₱1,488,061	₱1,761,097	₱805,259	₱776,865	(₱782,608)	(₱980,530)	₱11,749,921	₱12,118,907
Assets										
Operating assets	₱30,781,230	₱33,100,804	₱7,625,439	₱6,770,144	₱2,966,506	₱3,586,947	(6,619,061)	(₱6,245,027)	₱34,754,114	₱37,212,868
Noncurrent assets held for sale	1,959,540	6,088,061	–	–	–	–	–	–	1,959,540	6,088,061
Contract assets	14,888	16,857	–	–	–	–	–	–	14,888	16,857
Investments in associates and joint ventures	11,078,489	11,681,053	–	–	–	–	(10,975,311)	(11,577,875)	103,178	103,178
Deferred tax assets – net	1,381,808	1,265,598	282,209	217,140	40,248	94,457	–	–	1,704,265	1,577,195
Total assets	₱45,215,955	₱52,152,373	₱7,907,648	₱6,987,284	₱3,006,754	₱3,681,404	(₱17,594,372)	(₱17,822,902)	₱38,535,985	₱44,998,159
Liabilities										
Operating liabilities	₱18,753,969	₱20,632,772	₱1,974,402	₱418,605	₱499,401	₱780,665	(₱1,566,657)	(₱1,479,920)	₱19,661,115	₱20,352,121
Contract liabilities	1,597,069	1,926,219	–	–	–	–	(29,222)	–	1,567,847	1,926,219
Interest-bearing loans and borrowings	13,204,389	16,087,798	–	–	–	–	(270,000)	(270,000)	12,934,389	15,817,798
Deferred tax liability	2,391,326	3,943,849	–	–	–	–	–	–	2,391,326	3,943,849
Lease liabilities	868,606	888,262	–	–	–	–	(474,997)	(₱453,299)	393,609	434,963
Total liabilities	₱36,815,359	43,478,900	₱1,974,402	₱418,605	₱499,401	₱780,665	(₱2,340,876)	(₱2,203,219)	₱36,948,286	₱42,474,950
Other Segment Information										
Capital expenditures:										
Property and equipment	₱260,298	₱387,275	₱639	₱623	₱2,452	₱5,396	₱–	₱–	₱263,389	₱393,294
Intangible assets	175,079	680,454	–	–	–	–	–	–	175,079	680,454

6. Cash and Cash Equivalents and Short-term Investments

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash on hand and in banks	₱582,097	₱1,307,368
Cash equivalents	136,020	53,635
	₱718,117	₱1,361,003

Cash in banks earn interest at the respective bank deposit rates. Cash equivalents are short-term placements, which are made for varying periods of up to three months depending on the immediate cash requirements of the Group and earn interest at the respective short-term placement rates.

Cash deposits amounting to ₱8.2 million as at September 30, 2025 and ₱10.7 million as at December 31, 2024, and with maturities of more than three months but less than one year are classified as “Short-term investments” in the consolidated statements of financial position.

Interest earned from cash and cash equivalents and short-term investments amounted to ₱11.3 million and ₱4.9 million for the nine months ended September 30, 2025 and 2024, respectively.

7. Trade and Other Receivables

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade:		
Advertising	₱2,956,921	₱3,174,505
Subscriptions	3,074,983	2,900,707
Others	1,275,007	2,086,347
Due from related parties (Note 24)	138,244	143,509
Advances to employees and talents	88,830	1,034,692
Others	671,639	1,163,492
	8,205,624	10,503,252
Less allowance for ECL	3,315,099	3,092,551
	₱4,890,525	₱7,410,701

Trade receivables are noninterest-bearing and are generally on 60 to 90-days term upon receipt of invoice by the customer.

Advertising receivables include unbilled advertising sales, airtime and online ads, which have been aired or implemented during the year. Invoicing normally takes around 7 days to 10 days from airing or implementation.

Subscription receivables include unbilled subscription, where revenue has been accrued based on the rates in the subscription agreements multiplied by the number of subscribers based on the latest report from the cable providers.

Other trade receivables pertain to trade accruals, trade creditable withholding taxes and receivables related to sponsored production, ancillary rights and royalties. These are usually collected within one year.

Advances to employees and talents includes and loans to regular and project employees. These are usually collected within one year.

Other receivables include claims arising from sources other than the sale of advertising and subscription and advances to employees and talents that are expected to be realized in cash within the next financial year.

Movements in the allowance for ECL are as follows:

	Trade			Nontrade	Total
	Airtime	Subscriptions	Others		
Balance at January 1, 2024	₱337,466	₱1,800,226	₱104,369	₱582,624	₱2,824,685
Provisions (Note 28)	–	316,656	(28,982)	20,522	308,196
Write-offs and others	(7,836)	(29,963)	(790)	(1,741)	(40,330)
Balance at December 31, 2024	329,630	2,086,919	74,597	601,405	3,092,551
Provisions (Reversals) (Note 28)	–	232,450	–	23,436	255,886
Write-offs and others	–	(19,296)	–	(14,042)	(33,338)
Balance at September 30, 2025	₱329,630	₱2,300,073	₱74,597	₱610,799	₱3,315,099

8. Inventories

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Office supplies	₱4,697	₱4,697
Materials, supplies and spare parts	97,481	98,215
Merchandise inventories	93,024	97,450
	195,202	200,362
Less: Allowance for inventory obsolescence	(168,997)	(172,268)
	₱26,205	₱28,094

Merchandise inventory consists mainly of set-top boxes, records and other consumer products held for sale by the Parent Company and subsidiaries. Materials, supplies and spare parts comprise mainly of cable, construction and installation supplies of Sky Cable and the Parent Company's spare parts and supplies.

As at September 30, 2025, the net realizable value of office supplies, materials and merchandise inventories are ₱1.6 million, ₱21.4 million, and ₱3.2 million respectively. As at December 31, 2024, the net realizable value of office supplies, materials and merchandise inventories are ₱1.6 million, ₱22.1 million, and ₱4.3 million respectively.

Cost of sales related to digital boxes amounting to ₱4.6 million and nil for the nine months ended September 30, 2025 and 2024, respectively, are recorded as part of "Inventory costs" under the "Cost of sales" account in the consolidated statements of income. Total inventory costs recognized under "Cost of sales and services" amounted to ₱24.6 million and ₱77.1 million for the nine months ended September 30, 2025 and 2024, respectively (see Note 27).

Movements in the allowance for inventory obsolescence are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at beginning of period	₱172,268	₱504,098
Provisions for the year (Note 28)	–	233
Write-offs	(3,508)	(332,063)
Translation adjustment	237	–
Balance at end of period	₱168,997	₱172,268

9. **Contract Liabilities**

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current	₱1,567,847	₱1,926,219
Noncurrent	1,026,600	517,364

Contract liabilities pertain to the payments received before broadcast, subscription fees billed and received in advance, nonrefundable installation service fee received in advance and payments received for distribution of music catalogue. These are recognized as revenue when the Group performs under the contract.

Contract liabilities also include customer deposits which are cash payments by customers, for which the Group has not yet provided goods or services in exchange. Revenue is recognized once goods or services are provided to customers.

Out of the opening contract liabilities, total revenue recognized amounted to ₱123.9 million and ₱644.0 million for the nine months ended September 30, 2025 and 2024, respectively. Contract liabilities are usually recognized as revenues within one year from receipt.

10. Property and Equipment at Cost

September 30, 2025 (Unaudited)								
	Right-of-use assets							
	Land and Land Improvements	Buildings and Improvements	Towers, Transmission, Television, Radio, Movie, and Auxiliary Equipment	Other Equipment	Construction in Progress	Towers, Transmission, Television, Radio, Movie, and Auxiliary Equipment	Buildings and Improvements	Total
Cost								
Balance at beginning of year	₱199,539	₱14,386,589	₱20,080,737	₱11,652,113	₱3,288,709	₱1,769,856	₱173,500	₱51,551,043
Additions	—	—	25,833	25,058	210,258	—	2,240	263,389
Disposals/retirements	(7,816)	(3,314)	(739,921)	(119,280)	(783)	—	(24,994)	(896,108)
Reclassifications	—	34,167	20,247	8,171	(62,585)	—	—	—
Reclassification to noncurrent assets held for sale (Note 32)	—	—	—	—	—	—	—	—
Translation adjustments	—	68	(26,049)	(1,875)	(1,488)	—	(423)	(29,767)
Balance at end of year	191,723	14,417,510	19,360,847	11,564,187	3,434,111	1,769,856	150,323	₱50,888,557
Accumulated Depreciation, Amortization and Impairment								
Balance at beginning of year	99,793	10,377,241	17,393,585	9,328,900	960,292	1,015,783	54,102	39,229,696
Depreciation and amortization (Notes 26, 27 and 28)	12,469	105,455	846,531	201,019	—	101,573	7,645	1,274,692
Disposals/retirements	—	(518)	(658,853)	(117,449)	—	—	—	(776,820)
Impairment (Note 28)	—	—	—	—	—	—	—	—
Reclassification to noncurrent assets held for sale (Note 32)	—	—	—	—	—	—	—	—
Translation adjustments	—	(48)	(20,477)	(2,729)	—	(6,205)	—	(29,459)
Balance at end of year	112,262	10,482,130	17,560,786	9,409,741	960,292	1,111,151	61,747	39,698,109
Net Book Value	₱79,461	₱3,935,380	₱1,800,061	₱2,154,446	₱2,473,819	₱658,705	₱88,576	₱11,190,448

December 31, 2024 (Audited)								
	Right-of-use assets							
	Land and Land Improvements	Buildings and Improvements	Towers, Transmission, Television, Radio, Movie, and Auxiliary Equipment	Other Equipment	Construction in Progress	Towers, Transmission, Television, Radio, Movie, and Auxiliary Equipment	Buildings and Improvements	Total
Cost								
Balance at beginning of year	₱210,833	₱14,426,996	₱33,484,082	₱13,296,341	₱4,041,595	₱2,002,681	₱323,977	₱67,786,505
Additions	—	—	224,872	45,152	94,464	3,541	25,265	393,294
Disposals/retirements	(10,590)	(4,115)	(1,929,044)	(930,543)	—	(112,133)	(175,742)	(3,162,167)
Reclassifications	—	57,419	136,884	4,639	(198,942)	—	—	—
Reclassification to noncurrent assets held for sale (Note 32)	(704)	(93,735)	(11,838,638)	(770,827)	(648,408)	(124,233)	—	(13,476,545)
Translation adjustments	—	24	2,581	7,351	—	—	—	9,956
Balance at end of year	199,539	14,386,589	20,080,737	11,652,113	3,288,709	1,769,856	173,500	51,551,043
Accumulated Depreciation, Amortization and Impairment								
Balance at beginning of year	83,826	9,783,375	26,019,848	10,490,482	1,590,418	950,784	186,260	49,104,993
Depreciation and amortization (Notes 26, 27 and 28)	16,670	197,390	1,687,287	425,656	—	191,654	37,549	2,556,206
Disposals/retirements	—	(2,404)	(1,625,374)	(928,533)	—	(28,428)	(169,707)	(2,754,446)
Impairment (Note 28)	—	485,979	2,861,106	33,114	—	24,363	—	3,404,562
Reclassification to noncurrent assets held for sale (Note 32)	(703)	(87,123)	(11,551,411)	(698,998)	(630,126)	(122,590)	—	(13,090,951)
Translation adjustments	—	24	2,129	7,179	—	—	—	9,332
Balance at end of year	99,793	10,377,241	17,393,585	9,328,900	960,292	1,015,783	54,102	39,229,696
Net Book Value	₱99,746	₱4,009,348	₱2,687,152	₱2,323,213	₱2,328,417	₱754,073	₱119,398	₱12,321,347

Construction in progress pertains to various projects, capitalizable on-going repairs of tower sites, building and facilities.

For the nine months ended September 30, 2025, the Group sold various property and equipment with carrying value of ₱119 million for total proceeds of ₱147 million resulting to a gain on sale of properties amounting to ₱28 million. For the nine months ended September 30, 2024, the Group sold various property and equipment with carrying value of ₱276 million for total proceeds of ₱955 million resulting to a gain on sale of properties amounting to ₱679 million.

Unamortized borrowing costs capitalized as part of property and equipment amounted to ₱1,699 million and ₱1,728 million as at December 31, 2024 and December 31, 2023, respectively. There were no borrowing costs capitalized in 2024 and 2023.

To address the impact of the denial of the franchise application (as discussed in Note 1), the Group has entered into an agreement with its existing lenders to provide for the creation of mortgage and security interest over certain assets of the Group. The carrying value of assets mortgaged to secure the long-term debt of Parent Company as at December 31, 2024 and December 31, 2023 amounted to ₱4,264.2 million and ₱4,272.4 million, respectively (see Note 19). The aggregate appraised value of these properties as of December 31, 2024 and 2023 amounted to ₱5,647.1 million and ₱5,513.0 million, respectively, based on the latest appraisal reports.

11. Land at Revalued Amounts

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cost		
Balances at beginning of the period	₱497,315	₱748,828
Disposal	(3,636)	(155,276)
Reclassification to noncurrent assets held for sale (Note 32)	-	(96,237)
Balances at end of the period	493,679	497,315
Revaluation increment - gross		
Beginning balance	6,820,059	13,825,947
Revaluation	40,743	625,112
Disposal	(175,106)	(633,236)
Reduction in revaluation increment (Note 32)	-	(1,432,076)
Reclassification to noncurrent assets held for sale (Note 32)	-	(5,565,688)
Balances at end of the period	6,685,696	6,820,059
Land at Revalued Amount	₱7,179,375	₱7,317,374

The fair value of the properties from the 2024 and 2023 appraisal reports were determined using the “Market Data Approach” as determined by independent professionally qualified appraisers. With this method, sales/listings of similar property or parcels of land are compared, analyzed, and adjusted to provide a value indication for the property being appraised. The fair value represents the amount that would be received to sell the property in an orderly transaction between market participants at the date of valuation. The description of valuation techniques used and significant unobservable inputs to fair valuation are as follows:

	Valuation Techniques	Significant Unobservable Inputs	Range (Weighted Average)
Land	Sales Comparison	Price	₱3,000- ₱230,000
	Approach/Market	Location	-20% to +20%
	Approach	Site Development	-20% to +10%
		Size	-20% to +20%
		Use	-10% to +5%

The fair value is categorized under Level 3 of the fair value hierarchy and represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in accordance with International Valuation Standards.

For the land properties that were not appraised, the Group referred to the comparable market value published in various real estate websites adjusted by 20% bargaining allowance.

The latest appraisal was done in February 2025 by a professionally qualified appraiser accredited by the SEC.

As at December 31, 2024 and 2023, certain land properties with cost of ₱335.9 million and ₱429.7 million are part of its mortgaged properties to secure the long-term debt of Parent Company. The revalued amount of these land properties as at December 31, 2024 and 2023 were ₱5,919.6 and ₱11,157.2 million, respectively.

12. Investment Property

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cost:		
Balance at beginning of period	₱3,253	₱3,118
Translation adjustments	8	135
Balance at end of period	3,261	3,253
Accumulated depreciation:		
Balance at beginning of period	2,270	2,019
Depreciation (Note 28)	120	161
Translation adjustments	8	90
Balance at end of period	2,398	2,270
Net book value	₱863	₱983

The Group owns an idle real property classified as investment property. As at December 31, 2024 and 2023, the appraised value of the property is ₱6.3 million.

Direct operating expenses, which consist mainly of depreciation, recorded as part of “General and administrative expenses”, amounted to ₱119.8 thousand and ₱119.7 thousand for the nine months ended September 30, 2025 and 2024, respectively (see Note 28).

The fair value of the property was determined by engaging an independent appraiser. The Market Data Approach was used wherein sales/listings of similar properties are compared, analyzed, and adjusted to provide a value indication of the property being appraised. The comparison process is based on an analysis of the similarity or differences of the comparables.

The description of valuation techniques used and significant unobservable inputs to fair valuation are as follows:

	Valuation Techniques	Significant Unobservable Inputs	Range (Weighted Average)
Investment Property	Sales Comparison Approach/Market Approach	Unit Type	0% to +5%
		Size	0% to +5%
		Unit Condition	0% to +5%
		Furnishing	-5% to 0%
		Floor Level	-5% to 5%

As at September 30, 2025, the investment property has not been pledged as collateral or security for any of the Group's liabilities and the Group has no restriction on the realizability of its investment properties and no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

13. Goodwill, Program Rights and Other Intangible Assets

September 30, 2025 (Unaudited)

	Goodwill	Program Rights	Movie In-Process and Filmed Entertainment	Story and Publication, and Video Rights	Trademarks	Customer Relationships	Cable Channels - CPI	Production and Distribution Business Middle East	Business Process Re-engineering	Digital Platform and IP Block	Total
Cost											
Balance at beginning of period	₱4,777,812	₱14,452,505	₱5,325,777	₱662,084	₱1,111,784	₱903,523	₱574,960	₱215,939	₱618,436	₱-	₱28,642,820
Additions	-	93,571	60,780	20,728	-	-	-	-	-	-	175,079
Reclassifications to NCAHFS	-	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-	-	-
Translation adjustments	1,735	-	-	-	-	-	-	2	-	-	1,737
Balance at end of period	4,779,547	14,546,076	5,386,557	682,812	1,111,784	903,523	574,960	215,941	618,436	-	₱28,819,636
Accumulated Amortization											
Balance at beginning of period	-	(13,872,017)	(5,012,927)	(148,216)	(135,157)	(635,726)	(463,938)	(176,053)	-	-	(20,444,034)
Amortization for the period	-	(239,244)	(65,911)	(24,002)	-	-	(30,452)	-	-	-	(359,609)
Reclassification to NCAHFS	-	-	-	-	-	-	-	-	-	-	-
Balance at end of period	-	(14,111,261)	(5,078,838)	(172,218)	(135,157)	(635,726)	(494,390)	(176,053)	-	-	(20,803,643)
Accumulated Impairment											
Balance at beginning of period	(4,491,817)	(215,926)	(180,119)	-	(976,627)	(267,797)	-	(37,943)	(618,436)	-	(6,788,665)
Impairment for the period	-	-	-	-	-	-	-	-	-	-	-
Reclassification to NCAHFS	-	-	-	-	-	-	-	-	-	-	-
Balance at end of period	(4,491,817)	(215,926)	(180,119)	-	(976,627)	(267,797)	-	(37,943)	(618,436)	-	(6,788,665)
Balance as at September 30, 2025	287,730	218,889	127,600	510,594	-	-	80,570	1,945	-	-	₱1,227,328
Less: Current portion	-	218,366	127,379	29,516	-	-	-	-	-	-	375,261
Noncurrent portion	₱287,730	₱ 523	₱ 221	₱481,078	₱-	₱-	₱80,570	₱1,945	₱-	₱-	₱852,067

December 31, 2024 (Audited)											
	Goodwill	Program Rights	Movie In-Process and Filmed Entertainment	Story and Publication, and Video Rights	Trademarks	Customer Relationships	Cable Channels - CPI	Production and Distribution Business Middle East	Business Process Re-engineering	Digital Platform and IP Block	Total
Cost											
Balance at beginning of year	₱4,765,575	₱14,508,831	₱5,797,834	₱394,743	₱1,111,784	₱903,523	₱574,960	₱215,939	₱618,436	₱112,300	₱29,003,925
Additions	12,237	199,918	96,594	364,325	—	—	—	—	—	19,617	692,691
Reclassifications to NCAHFS	—	—	—	—	—	—	—	—	—	(131,917)	(131,917)
Disposals	—	(256,244)	(568,651)	(96,984)	—	—	—	—	—	—	(921,879)
Balance at end of year	4,777,812	14,452,505	5,325,777	662,084	1,111,784	903,523	574,960	215,939	618,436	—	28,642,820
Accumulated Amortization											
Balance at beginning of year	—	(13,358,203)	(4,763,972)	(146,292)	(135,157)	(635,726)	(423,336)	(175,686)	—	(67,329)	(19,705,701)
Amortization for the year	—	(513,814)	(248,955)	(1,924)	—	—	(40,602)	(367)	—	—	(805,662)
Reclassification to NCAHFS	—	—	—	—	—	—	—	—	—	67,329	67,329
Balance at end of year	—	(13,872,017)	(5,012,927)	(148,216)	(135,157)	(635,726)	(463,938)	(176,053)	—	—	(20,444,034)
Accumulated Impairment											
Balance at beginning of year	(4,491,817)	—	(172,233)	—	(976,627)	(267,797)	—	(37,943)	(618,436)	(26,783)	(6,591,636)
Impairment for the year	—	(215,926)	(7,886)	—	—	—	—	—	—	—	(223,812)
Reclassification to NCAHFS	—	—	—	—	—	—	—	—	—	26,783	26,783
Balance at end of year	(4,491,817)	(215,926)	(180,119)	—	(976,627)	(267,797)	—	(37,943)	(618,436)	—	(6,788,665)
Balance as at December 31, 2024	285,995	364,562	132,731	513,868	—	—	111,022	1,943	—	—	1,410,121
Less: Current portion	—	299,693	110,327	12,527	—	—	—	—	—	—	422,547
Noncurrent portion	₱285,995	₱64,869	₱22,404	₱501,341	₱—	₱—	₱111,022	₱1,943	₱—	₱—	₱987,574

Goodwill

Goodwill arose from the following acquisitions and business combination:

	September 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Sky Cable	₱4,491,817	₱4,491,817
ABS-CBN International*	285,995	285,995
	4,777,812	4,777,812
Allowance for impairment	(4,491,817)	(4,491,817)
	₱285,995	₱285,995

**Includes translation adjustments*

Program Rights and Other Intangible Assets

Program rights include the acquired rights of the Group to air foreign and local films or programs for a certain period of time. As at September 30, 2025, the remaining useful life of program rights range from one (1) to twenty (20) years.

Movie-in-process pertains to production-related expenses which are deferred until a movie is released. Upon release of a movie content, the related amortization is recognized in various direct production cost accounts, i.e. costumes and sets, location rental and post-production costs.

The customer relationships acquired in a business combination relate to the core subscribers of the following:

- Sky Cable postpaid, prepaid and platinum, broadband and other subscribers at conversion date who have sustained their relationship with Sky Cable for more than a year
- Destiny Cable, Incorporated (DCI), Solid Broadband Corporation and UNI Cable TV, Inc. cable postpaid, prepaid and broadband subscribers
- Tri-Isys postpaid internet subscribers

The cable channels include Lifestyle Channel (now Metro Channel), Cinema One, and Myx Channel acquired by CPI from Sky Vision.

Production and distribution business for Middle East operations represent payments arising from the sponsorship agreement between Arab Digital Distribution (ADD) and ABS-CBN Middle East. This agreement grants the Group the right to operate in the Middle East with ADD as sponsor for a period of twenty-five (25) years.

Business process re-engineering pertains to cost of replacement of Sky Cable's IT and network systems and most of the integrated platforms surrounding it.

Other intangible asset with indefinite life pertains to IP block.

In 2022, the Group reassessed the useful life of the trademarks based on industry trends and changed it from indefinite to remaining useful life of 15 years to reflect the expected pattern of economic benefits from the assets. This was accounted prospectively as a change in accounting estimate.

14. Financial Assets at Fair Value through Other Comprehensive Income

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Listed ordinary common, quoted club shares and others	₱14,419	₱14,269

Investment in quoted equity securities represents the investment in PLDT common shares. Investments in quoted club shares mainly comprise of investments in Baguio Country Club and others.

Movements in this account follow:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at beginning of year	₱14,269	₱67,333
Unrealized fair value gain	150	2,136
Disposal of investment	—	(55,200)
Balance at end of year	₱14,419	₱14,269

15. Investments in Associates and Joint Ventures

		Percentage of Ownership	
		September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Entity	Principal Activities		
Associates:			
Star Cinema Productions, Inc. (Star Cinema)	Services	45.0	45.0
The Flagship, Inc. (Flagship)	Services	40.0	40.0
Joint ventures:			
A CJ O Shopping Corporation (A CJ O)	Home shopping	50.0	50.0
Daum Kakao Philippines Corporation (Daum Kakao)	Services	50.0	50.0
Media Serbisyo Production Corporation (Media Serbisyo)	Content production	49.0	49.0
ALA Sports Promotions International, Inc. (ALA Sports)	Boxing promotions	44.0	44.0

Details and movement in the account are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Acquisition costs –		
Balance at beginning of year	₱872,649	₱872,649
Addition	–	–
Balance at end of year	872,649	872,649
Accumulated equity in net losses –		
Balance at beginning of year	(678,862)	(668,941)
Equity in net loss during the year	–	(9,921)
Balance at end of year	(678,862)	(678,862)
Accumulated impairment loss –		
Balance at beginning of year	(90,609)	(83,187)
Reversal (impairment) of investment in joint venture	-	(7,422)
Balance at end of year	(90,609)	(90,609)
	₱103,178	₱103,178
Investments in:		
Joint ventures	₱-	₱-
Associates	103,178	103,178
	₱103,178	₱103,178

All the associates and joint ventures are incorporated and have principal place of business in the Philippines. The associates and joint ventures have no contingent liabilities or capital commitments as at December 31, 2024 and December 31, 2023.

a. Investments in Joint Ventures

i. A C J O

The joint venture operated O Shopping Channel which broadcasted company-produced shopping programs 24/7 via Sky Cable and Destiny Cable.

On June 25, 2020, the stockholders and BOD of the Group approved a plan of liquidation and cessation of operations effective December 31, 2020. In November 2020, the Group decided to discontinue its operations to prevent further losses. Though the Parent Company expects to recover its investment through liquidation of the remaining assets of A C J O, the Parent Company recognized ₱9.9 million impairment loss on this investment in 2022. As at September 30, 2025, there have been no transactions that affected the joint venture or its status.

ii. ALA Sports

The primary purpose of ALA Sports, which was incorporated in December 2013, is to organize, stage and promote boxing matches, and provide, distribute and market products and services that are otherwise connected to the operations of said business, in the Philippines and other territories. In 2022, the Parent Company reversed its allowance of impairment amounting to ₱4.3 million as its allowance already exceeded the net assets of

the joint venture. As at September 30, 2025, there have been no transactions that affected the joint venture or its status.

iii. Daum Kakao

In 2015, the Parent Company entered into a joint venture agreement with Kakao Corporation to form a joint venture corporation, Daum Kakao. The primary purpose of Daum Kakao, which was incorporated in February 2015, is to engage in and provide KakaoTalk services developed and/or customized for users in the Philippines for mobile devices, including marketing and sales promotions. The joint venture agreement also includes a put option in favor of the Parent Company for the joint venture partner to purchase all of the Parent Company's stocks in Daum Kakao within 60 days after the second year of Daum Kakao's registration.

On July 29, 2016, the stockholders and the BOD of Daum Kakao approved the resolution to cease business operations and dissolve the corporation, subject to approval of SEC, effective August 30, 2016. Thereafter, the Parent Company recognized ₱3.0 million impairment loss from its investment in Daum Kakao in 2016.

In view of the recent developments in Daum Kakao, the stockholders and the BOD of Daum Kakao revoked its previous resolution on cessation and dissolution of the corporation, and thereafter approved the continuance of its business operations in 2017.

The Philippine SEC has approved Daum Kakao's decrease in its capital stock from ₱900.0 million to ₱86.0 million on January 31, 2019. On June 3, 2021, Daum Kakao has returned capital of ₱364.0 million to the joint venturers.

In 2024, the Parent Company recognized additional impairment on its investment in Daum Kakao amounting to ₱7.4 million to fully impair its investment.

As at September 30, 2025, there have been no transactions that affected the joint venture or its status.

iv. Media Serbisyo

On June 30, 2023, ABS-CBN entered into a joint venture with Prime Media Holdings, Inc. The joint venture, Media Serbisyo, produces various programs, which will be supplied to broadcasters and other third-party platforms including Philippine Collective Media Corporation. As at September 30, 2025, there have been no transactions that affected the joint venture or its status.

Combined financial information of the joint ventures follows:

	September 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Current assets	₱261,782	₱261,790
Noncurrent assets	67,243	67,243
Current liabilities	(149,062)	(149,005)
Net equity	₱179,963	₱180,028

Nine Months Ended September 30
(Unaudited)

	2025	2024
Revenue	₱397	₱32,514
Costs and expenses	(391)	(77,105)
Net income (loss)	₱6	(₱44,591)
Equity in net earnings (losses) of joint ventures	₱-	(₱3,844)

Below is the reconciliation of the summarized financial information of the joint ventures to the carrying amount of the Parent Company's investments therein:

September 30, 2025 (Unaudited)					
	A C J O	ALA Sports	Daum Kakao	Media Serbisyo	Total
Net assets of joint ventures	₱89,557	₱58,144	₱32,262	₱-	₱179,963
Interest of the Parent Company in the net assets of the joint ventures	50%	44%	50%	49%	
	44,779	25,583	16,131	-	86,493
Accumulated share in net losses and impairment loss	(44,779)	(25,583)	(16,131)	-	(86,493)
Carrying amount of investments in joint ventures	₱-	₱-	₱-	₱-	₱-
December 31, 2024 (Audited)					
	A C J O	ALA Sports	Daum Kakao	Media Serbisyo	Total
Net assets of joint ventures	₱89,557	₱58,210	₱32,261	₱-	₱180,028
Interest of the Parent Company in the net assets of the joint ventures	50%	44%	50%	49%	
	44,779	25,612	16,131	-	86,522
Accumulated share in net losses and impairment loss	(44,779)	(25,612)	(16,131)	-	(86,522)
Carrying amount of investments in joint ventures	₱-	₱-	₱-	₱-	₱-

a. Investments in Associates

In 2015, the Parent Company entered into an agreement with certain individuals to form Flagship, a holding company with interests on entities engaged in the business of producing and co-producing motion pictures and providing visual effects and post-production services. In 2024 and 2023, the Group did not recognize equity in net income of Flagship because it is immaterial.

Investment in the other associate, Star Cinema, has been reduced to zero due to accumulated equity in net losses. The net cumulative unrecognized net losses amounted to ₱17 million as at December 31, 2024 and 2023.

Combined financial information of associates follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current assets	₱138,670	₱346,675
Noncurrent assets	26,886	67,215
Current liabilities	(62,378)	(155,945)
Net equity	₱103,178	₱257,945

16. Other Current Assets

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Input taxes	₱2,436,446	₱2,237,249
Restricted cash	1,452,222	–
Creditable withholding and prepaid taxes	641,133	533,278
Preproduction expenses	317,288	374,496
Advances to suppliers	170,444	182,698
Prepayments:		
Licenses	102,488	78,987
Rent	14,894	31,650
Subscription	70,423	17,747
Insurance	18,947	9,768
Contract cost assets	14,888	16,857
Other prepayments	46,467	85,597
	5,285,640	3,568,327
Allowance for impairment	(320,521)	(320,521)
	₱4,965,119	₱3,247,806

Advances to suppliers are generally applied against future billings within next year.

Preproduction expenses encompass all the expenses related to the planning and preparatory materials created before actual production begins, including scripts, storyboards, and location scouting.

Other prepayments mainly pertain to employee cost of Sky and advertisements and promotions.

Contract cost assets pertain to the incremental costs incurred by the Group in obtaining contracts with customers. Sky Cable pays sales commission to its sales agents for each contract that they obtain from subscribers. This sales commission is considered incremental cost of obtaining the contract and has been capitalized in accordance with PFRS 15 since Sky Cable expects that sales commission is recoverable. This is amortized on a straight-line basis over the period the services are provided to the customer. The amortization related to incremental costs to obtain contracts recorded in “Advertising and promotion” under “General and administrative expense” account in the consolidated statement of income amounted to ₱20.0 million and ₱24.0 million for the nine months ended September 30, 2025 and 2024, respectively (see Note 28).

Restricted cash pertains to funds from sale of property intended for debt servicing and tax payments and is not available for any disbursement transactions other than its specified purpose.

17. Other Noncurrent Assets

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Creditable withholding taxes - noncurrent	₱3,305,656	₱2,757,874
Earned tax credits	447,109	447,974
Deposits and bonds	269,127	306,024
Input taxes - noncurrent	772,539	776,425
Others	5,283	70,281
	4,799,714	4,358,578
Allowance for impairment	(251,264)	(251,264)
	₱4,548,450	₱4,107,314

Tax credits represent claims from the government arising from airing of government commercials, advertisements and cablecast services. Pursuant to Presidential Decree No. 1362, these will be collected in the form of tax credits which the Group can use in paying for import duties and taxes on its broadcasting and cable equipment. The tax credits cannot be used to pay for any other tax obligation to the government. The Group expects to utilize these tax credits until 2027.

Deposits and bonds pertain to advance payments which serves as either down payment or earnest money to show the Group's interest (reservation) in acquiring right of use over one's property or services from another property for a certain period of time.

As at September 30, 2025 and December 31, 2024, the Group has recognized non-current input tax totaling to ₱772.5 million and ₱776.4 million, respectively. These credits relate to value-added tax (VAT) which can be offset against VAT liabilities from future sales and are classified as non-current assets due to their expected recovery beyond one year.

18. Trade and Other Payables

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade	₱1,575,626	₱2,062,975
Accrued expenses:		
Production costs and other expenses	5,398,290	5,696,621
Salaries and other employee benefits (Note 31)	1,515,645	1,387,260
Taxes	2,833,195	2,032,287
Interest	207,691	193,573
Deposits for future subscription (Notes 4 and 23)	1,287,421	1,287,421
Dividend payable	44,481	44,481
Due to related parties (Note 24)	53,336	15,996
Others	158,914	222,315
	₱13,074,599	₱12,942,929

Trade payables are noninterest-bearing and are normally settled on 30 to 90-day term.

Accrued expenses are normally settled within the next financial year.

Accrued production costs and other expenses represent accruals for various expenses related to the production of programs.

Deposits for future subscription include deposits from Sampaquita (see Note 4) and from eligible SPP participants (see Note 23).

Other current liabilities include statutory liabilities which are payable within the next financial year.

19. Interest-bearing Loans and Borrowings

Borrower	September 30, 2025 (Unaudited)			December 31, 2024 (Audited)		
	Current Portion	Noncurrent Portion	Total	Current Portion	Noncurrent Portion	Total
Parent Company	₱8,493,074	₱–	₱8,493,074	₱11,337,516	₱–	₱11,337,516
Sky Cable	233,220	4,208,095	4,441,315	4,480,282	–	4,480,282
	₱8,726,294	₱4,208,095	₱12,934,389	₱15,817,798	₱–	₱15,817,798

Unamortized debt issue cost, presented as a deduction from the Group's outstanding loan, amounted to ₱44 million and ₱4 million as at September 30, 2025 and December 31, 2024, respectively.

Amortization of debt issue costs amounted to ₱37 million and ₱13 million for the nine months ended September 30, 2025 and 2024, respectively. (see Note 29).

Parent Company

The details of interest-bearing loans and borrowings of the Parent Company are as follows:

	September 30, 2025 (Unaudited)			December 31, 2024 (Audited)		
	Current Portion	Noncurrent Portion	Total	Current Portion	Noncurrent Portion	Total
Term loan agreements	₱8,493,074	₱–	₱8,493,074	₱11,337,516	₱–	₱11,337,516

The loan agreements contain provisions regarding the maintenance of certain financial ratios and limiting, among others, the payment of dividends, making investments, the issuing or selling of the Group's capital stock or some of its subsidiaries, the selling or exchange of assets, the creation of liens and the effecting of mergers.

In 2023, the Parent Company obtained waivers from its creditor banks on various dates waiving the compliance with the relevant financial ratios for all quarters in 2023. In November 2023, the Parent Company received waivers from its creditor banks waiving the compliance with the relevant financial ratios for the last quarter of 2023.

In 2024, the Parent Company further obtained waivers from its creditor banks on various dates waiving the compliance with the relevant financial ratios for all quarters in 2024.

As at September 30, 2025 and December 31, 2024, the Parent Company is no longer required to maintain a debt reserve account balance for debt repayment by virtue of the waivers obtained from creditor banks for this requirement.

Part of the Parent Company's existing loan covenant with its creditors require it to possess a valid government license/franchise to operate certain businesses. The non-renewal of the franchise therefore had an adverse impact on the Parent Company's ability to comply with this loan provision (the "Franchise Expiration Default"). To address this, the Group entered into an agreement with its existing lenders in 2020 (the "Omnibus Security and Intercreditor Agreement") to provide for the creation of a mortgage and security interest over certain assets of the Group, the opening and maintenance of Debt Service Reserve Account, pre-payment of the ₱4.0 billion of its loans, and an amendment of existing loan agreements. The lenders agree that, upon satisfaction of the necessary conditions under the Omnibus Security and Intercreditor Agreement (the "Standstill Effective Date")

and during the effectivity period (the “Standstill Period”) of the standstill as specified in the Omnibus Security and Intercreditor Agreement, it shall not declare an event of default to the extent that it relates to the Franchise Expiration Default. The Standstill Period shall be from the Standstill Effective until the Long Stop Date (June 30, 2023). On May 31, 2021, all the conditions specified under the Omnibus Security and Intercreditor Agreement were satisfied and accordingly, the Standstill Effective Date Notice was executed by all parties. The Omnibus Security and Intercreditor Agreement provides for a certain condition to be met prior to the Long Stop Date. Non-occurrence of such condition as of the Long Stop Date shall cause the Standstill effectivity to cease and from and as of such date the lenders shall have the right to declare an event of default and exercise all or any of their rights and remedies as provided under the Omnibus Security and Intercreditor Agreement, including the enforcement of the security interest created under the Omnibus Security and Intercreditor Agreement. The Parent Company obtained an extension on the Long Stop Date until December 31, 2023.

The Parent Company also obtained from the banks extension of the long-stop date until December 31, 2024. However, no extension was further obtained after December 31, 2024. Accordingly, the Parent Company’s loans were classified as current as of December 31, 2024. Despite the current classification of the Parent Company’s loans, the Parent Company continues to service its loan obligations with its creditor banks according to the original schedule. On March 1, 2025, the maturity date of the ₱5 billion loan with BPI was extended by six months, resulting in the new maturity date of September 1, 2025. This extension was granted under terms identical to those of the original loan agreement. The loan maturity has been extended to January 15, 2026, as the Parent Company continues discussions with its lenders regarding the refinancing of its outstanding loans.

On various dates in 2023, the Parent Company prepaid portions of its principal with BPI and Unionbank amounting to ₱117.8 million and ₱145.9 million, respectively.

On various dates in 2024, the Parent Company prepaid portions of its principal with BPI and Unionbank amounting to ₱500.0 million and ₱618.4 million, respectively.

On various dates in 2025, the Parent Company prepaid portions of its principal with BPI and Unionbank amounting to ₱1,419 million and ₱1,311 million, respectively.

The Omnibus Security and Intercreditor Agreement amended certain provisions of the loan agreements, which include, among others, the provision of collateral for the Parent Company’s loans and changes in the affirmative and negative covenants in relation to sale of assets. The aggregate appraised value of the assets pledged as collateral as of December 31, 2024 amounted to ₱18,309 million. The disclosure on the assets pledged as collateral are in Notes 10, 11 and 32.

The Parent Company and its creditors agreed to authorize the sale of portions of the mortgaged assets, the proceeds of which were used to prepay the loan and a portion of annual debt service. Total proceeds obtained from the sale of these assets from 2021 to September 30, 2025 resulted in the decrease in outstanding loan by ₱6.6 billion.

The Parent Company recognized interest expense amounting to ₱484 million and ₱512 million for the nine months ended September 30, 2025 and 2024, respectively.

In 2023, the Parent Company fully amortized its debt issue costs. Amortization of debt issue costs amounted to ₱24 million in 2023 (nil in 2024) [see Note 29]. Accordingly, the Parent Company’s outstanding loans do not have unamortized debt issue cost presented as a deduction from the Group’s outstanding loan as at September 30, 2025 and December 31, 2024.

Repayments of loans based on nominal values and original schedules as of September 30, 2025 and December 31, 2024 follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Within one year	₱7,979,338	₱5,173,975
More than 1 year but less than 2 years	513,736	4,388,500
More than 2 years	-	1,775,041
	₱8,493,074	₱11,337,516

Sky Cable

The details of interest-bearing loans and borrowings of the Sky Cable are as follows:

	September 30, 2025 (Unaudited)			December 31, 2024 (Audited)		
	Current Portion	Noncurrent Portion	Total	Current Portion	Noncurrent Portion	Total
Term loans:						
Unsubordinated loan	₱233,220	₱4,208,095	₱4,441,315	₱4,480,282	₱—	₱4,480,282
	₱233,220	₱4,208,095	₱4,441,315	₱4,480,282	₱—	₱4,480,282

a. Unsubordinated Loan

On October 17, 2013, Sky Cable executed an unsecured and unsubordinated loan agreement with BPI and Security Bank for ₱1,800 million with interest at 7-year PDST-F plus 1% per annum subject to a floor rate of 5.40% and Robinsons Bank for ₱200 million with interest at 10-year PDST-F plus 0.9% per annum subject to a floor rate of 5.40%. The proceeds were used to repay the existing short-term loan of Sky Cable with BPI amounting to ₱1,850 million. The remaining ₱150 million was allocated for working capital purposes.

On January 16, 2017, Sky Cable executed a loan agreement with BPI for ₱873 million for a term of 7 years, with interest rate of 5.40% per annum for the first 4 years from the issue date and the higher between the PDST-F plus 1.25% and 5.0% floor rate per annum until the date of maturity. The proceeds were used to refinance the existing loan of Sky Cable with BPI amounting to ₱900 million.

On February 1, 2017, Sky Cable executed a loan agreement with Security Bank for ₱873 million for a term of 7 years, with a fixed interest rate of 5.40% per annum until maturity date. The proceeds were used to refinance the existing loan of Sky Cable with Security Bank amounting to ₱900 million.

On January 15, 2018, Sky Cable executed a loan agreement with BDO for ₱2 billion for a term of 10 years, with a fixed interest rate of 5.80% per annum until the first interest rate repricing date, 5.80% per annum until the second interest rate repricing date, and interest rate based on the prevailing PDST-R2 or a fixed interest rate until date of maturity, that will be mutually agreed upon by Sky Cable and BDO. The proceeds will be used to finance Sky Cable's capital expenditures.

On January 15, 2018, Sky Cable executed another loan agreement with BDO, for the purpose of refinancing PCC's outstanding loan obligation, amounting to ₱762 million for a term of 7 years, with an interest rate of higher of the sum of the prevailing 3-month PDST-R2 rate and the prevailing BSP Term Deposit Facility Rate until the first interest rate repricing date, and the

higher of the sum of the prevailing 3-month PDST-R2 rate and the prevailing BSP Term Deposit Facility Rate divided by 0.95 until maturity date.

Sky Cable recognized interest expense amounting to ₱159 million and ₱280 million for the nine months ended September 30, 2025 and 2024, respectively.

b. *Advances from Sampaquita*

On December 23, 2021, Sampaquita granted Sky Cable a USD 4.0 million loan with an interest of 4.20% payable in 2 years. Debt issue costs incurred from this transaction amounted to ₱1.5 million was deferred and will be amortized until 2023 using the effective interest method. Total interest expense recognized from advances from Sampaquita, including amortization of debt issue cost, amounted to ₱16.5 million for the nine months ended September 30, 2025. In March 2025, the loan maturity was further extended to December 2025.

As at December 31, 2024 and 2023, the Company's bank loans are classified as current due to non-compliance with certain financial covenants as required by its creditors in the loan agreements. As of December 31, 2024, the Company had ongoing negotiation with BDO, BPI (including loan from RBC), and SBC (collectively, the "Lenders") to refinance the Company's outstanding Term Loans with the Lenders totaling to ₱4.25 billion. The Omnibus Loan Security Agreement ("OLSA") was executed by the parties on February 11, 2025. The terms of the OLSA include a change in interest rates and revised payment terms up to 2032. The Company considers this as a non-adjusting subsequent event.

As of December 31, 2024, Sky Cable had on-going discussions with its creditors for its outstanding loans. Accordingly, the term sheet was approved by all parties on February 11, 2025. Among the significant terms included in the term sheet are the revised amortization payments and interests, and modified financial covenants. Consequently, as of September 30, 2025, Sky Cable's bank loans are classified as non-current.

Unamortized debt issue costs, presented as a deduction from the unsubordinated loan, amounted to ₱44.4 million and ₱3.6 million as at September 30, 2025 and December 31, 2024, respectively. Using the effective interest method, unamortized debt issue costs as at September 30, 2025 and December 31, 2024 to be amortized are presented as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Within one year	₱5,347	₱1,623
More than 1 year but less than 2 years	6,817	1,149
More than 2 years	32,197	780
	₱44,361	₱3,552

Amortization of debt issue costs amounted to ₱7 million and ₱8 million for the nine months ended September 30, 2025 and 2024, respectively (see Note 29).

Based on nominal values, the original schedule of debt repayments of the unsubordinated loans is as follows:

September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
--------------------------------------	-----------------------------------

Within one year	₱232,784	₱3,183,835
More than 1 year but less than 2 years	-	400,000
More than 2 years	4,252,892	900,000
	₱4,485,676	₱4,483,835

20. Obligations for Program Rights

This account represents liabilities to foreign and local film suppliers for program rights purchased by the Group. The liabilities are noninterest-bearing and are payable in equal monthly, quarterly or semiannual installments over a period of one to four years.

The amounts presented in the consolidated statements of financial position represent the face amounts of the obligations which are expected to be paid within one year.

Total obligations for program rights amounted to ₱31.5 million and ₱23.1 million as of September 30, 2025 and December 31, 2024, respectively.

21. Convertible Note

On February 14, 2011, ABS-CBN, Lopez, Inc, Lopez Holdings, Sky Vision, Sky Cable, STT Communications Ltd. (STTC) and Sampaquita, entered into a Subscription and Purchase Agreement (SPA) wherein Sampaquita agreed to purchase PDRs from ABS-CBN and Lopez Holdings and to subscribe to originally issued PDRs from Sky Vision and convertible note to be issued by Sky Cable.

On March 30, 2011, ABS-CBN completed the sale of 143,107,174 PDRs with underlying Sky Cable shares to Sampaquita for ₱1,816 million. Simultaneously, Sampaquita completed the subscription of originally issued 149,711,934 PDRs with underlying Sky Cable shares from Sky Vision for ₱1,450 million and Sky Cable convertible note for ₱250 million.

On May 12, 2011, Sky Cable, as provided in the SPA dated February 14, 2011, completed the issuance of the ₱250 million note to Sampaquita convertible into 25,812,403 shares of Sky Cable at the option of Sampaquita any time from issue date to maturity date, which is 10 years from date of issuance.

The convertible note bears 0% interest rate for the first three years, subject to adjustment every three years upon mutual agreement of the parties, provided that the interest rate shall not exceed 10% per annum. The interest rate shall be agreed upon by Sky Cable and Sampaquita at least 30 days prior to the commencement of each 3-year period. If no such agreement is reached, the interest rate for the succeeding period shall be the same as the interest rate for the preceding 3-year period. Such interest shall accrue from and including the first day of such interest period but not including the last day of such interest period. In 2017, Sampaquita and Sky Cable agreed to retain the interest rate at 0% for the next three-year period.

The convertible note was accounted for under split accounting. The equity component of the convertible note amounting to ₱27 million (net of transaction costs of ₱2 million and tax of ₱12 million) was recognized as part of noncontrolling interests in the consolidated financial statements. The liability component is presented separately as “Convertible note” in the consolidated statements of financial position.

The carrying value of the convertible note amounted to ₱230.4 million and ₱218.1 million as at September 30, 2025 and December 31, 2024, respectively.

Accretion of the convertible note recognized as part of interest expense in the consolidated statements of income amounted to ₱12.2 million and ₱11.6 million for the nine months ended September 30, 2025 and 2024, respectively (see Note 29).

22. Other Noncurrent Liabilities

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Contract liabilities	₱1,026,600	₱517,364
Others	158,366	6,951
	₱1,184,966	₱524,315

Contract liabilities represent customer deposits on set-top boxes and modems upon subscription and are refunded to the customers upon termination of service and deferred revenue from digital.

23. Equity

Capital Stock

Details of authorized and issued capital stock as at September 30, 2025 and December 31, 2024 are as follows:

September 30, 2025 (Unaudited)

	Number of Shares	Amount
	<i>(Amounts in Thousands, Except Number of Shares)</i>	
Authorized -		
Common shares - ₱1.0 par value	1,300,000,000	₱1,300,000
Preferred shares - ₱0.2 par value	1,000,000,000	200,000
Issued -		
Common shares	899,848,111	₱899,848
Preferred shares	1,000,000,000	200,000

December 31, 2024 (Audited)

	Number of Shares	Amount
	<i>(Amounts in Thousands, Except Number of Shares)</i>	
Authorized -		
Common shares - ₱1.0 par value	1,300,000,000	₱1,300,000
Preferred shares - ₱0.2 par value	1,000,000,000	200,000
Issued -		
Common shares	899,848,111	₱899,848
Preferred shares	1,000,000,000	200,000

Below is the Parent Company's track record of the registration of securities:

Date of SEC Order Rendered Effective or Permit to Sell	Event	Authorized Capital Stock	Issued Shares	Issue Price
	Registered and Listed Shares (Original Shares)	₱200,000	111,327,200	₱1.00
March 31, 1992	Initial Public Offering (Primary)	200,000	12,428,378	15.00
	Secondary *	200,000	18,510,517	15.00
	ESOP*	200,000	1,403,500	15.00
June 16, 1993	40% stock dividends	200,000	49,502,074	1.00
August 18, 1994	50% stock dividends	500,000	86,620,368	1.00
July 25, 1995	100% stock dividends	1,500,000	259,861,104	1.00
July 2, 1996	50% stock dividends	1,500,000	259,861,104	1.00
January 7, 2014	Issuance	1,500,000	57,836,900	43.125
January 7, 2014	Issuance	1,500,000	34,702,140	43.225

*Included in the 111,327,200 shares existing at the time of the IPO

The Parent Company's total number of common stockholders is 5,168 and 5,191 as at December 31, 2024 and December 31, 2023, respectively.

Preferred Shares. The account consists of 1 billion cumulative, voting, non-participating, redeemable and nonconvertible preferred shares with a par value of ₱0.20 per share. No preferred dividends were distributed since 2020. Preferred cumulative dividends amounted to ₱20 million and ₱16 million as of December 31, 2024 and 2023, respectively.

The Parent Company's total number of preferred shareholders is 197 as at September 30, 2025 and December 31, 2024.

Share-based Payment Transactions

Lopez Holdings (LPZ) ESPP. Lopez Holdings, a commonly controlled entity, has an Employee Stock Purchase Plan (LPZ ESPP) that was approved by its BOD and stockholders on February 28, 2011. The terms of LPZ ESPP, include among others, a limit as to the number of shares a qualified regular employee, officer or qualified director of Lopez Holdings and Lopez, Inc. or a qualified officer of Lopez Holdings' subsidiaries and associates, may purchase and the manner of payment based on equal semi-monthly installments over a period of two years through salary deductions. The stock options vest after two years from the grant date. All qualified participants are given until 10 years from grant date to exercise the stock options.

The primary terms of the grant are as follows:

Grant date	May 2011
Number of options granted allocable to the Group	21,974,257
Offer price per share	₱4.573
Option value per share	₱1.65

The fair value of equity-settled share options granted is estimated as at the date of grant using the Black-Scholes Option Model, taking into account the terms and conditions upon which the options were granted. The following table lists the inputs to the model used for the option grants:

Expected volatility	42.6%
Weighted average share price	₱4.573
Risk-free interest rate	4.3%
Expected life of option	5 years
Dividend yield	2.5%

The expected volatility reflects the assumption that the historical volatility is indicative of future trends, which likewise, may not necessarily be the actual outcome. The expected life of the options is based on historical data and is not necessarily indicative of exercise patterns that may occur. No other features of options grant were incorporated into the measurement of the fair value of the options.

As at September 30, 2025 and December 31, 2024, no options are exercisable under ESPP.

On December 18, 2020, the Board of Directors approved the ABS-CBN Stock Purchase Plans and Stock Grant Plans. The ABS-CBN Stock Purchase Plan 1 (SPP1) was given to employees who agreed to a pay reduction from September 2020 until February 2021. The ABS-CBN Stock Purchase Plan 2 (SPP2) was given to employees who agreed to a pay reduction from March to December 2021. The subscription price is based on the 45-day preceding volume weighted average price as of May 31, 2021. The ABS-CBN Stock Grant Plans were given to employees who were promoted anytime between September 2020 to December 2021 and who did not receive any salary adjustment for the period. The stockholders unanimously approved the Employee Stock Purchase Plan and Executive Stock Purchase Plan on February 2, 2021, and the Securities and Exchange Commission (SEC) resolved that the issuance of said shares is exempt from the registration requirement, under Section 10.2 of the Securities and Regulation Code, on December 9, 2021. The Philippine Stock Exchange approved the listing 19,150,319 shares for the SPP1 & SPP2 on August 25, 2022, and 8,534,000 shares for Stock Grant on October 6, 2022.

The Group has remaining share-based payment amounting to ₱0.02 million as at September 30, 2025 and December 31, 2024.

ABS-CBN Stock Purchase Plan and Executive Stock Purchase Plan (SPP). From January 22, 2018 to February 9, 2018, the Parent Company offered to eligible participants its SPP Program where employees may subscribe to the Parent Company's shares up to a maximum of 5% of total authorized shares.

Participants eligible in the SPP are non-managers, managers and up, board members and selected artists with at least one year of tenure. Non-managers may subscribe up to a maximum of 2,000 shares per participant while managers and artists may subscribe up to a maximum of shares equivalent to 2.5 months of their monthly salary or income. Members of the BOD may subscribe up to 100,000 shares. The subscription price for the first 2,000 shares will be at a 15% discount on the closing price as at the offer date or 45-day weighted closing prices, whichever is lower. There will be no discount on the subscription price for the shares subscribed in excess of 2,000 shares. The subscription price will be paid in five years.

On February 28, 2018, the Group accepted the total SPP subscription from participants of 11,391,500 common shares. The plan ended on Feb 28, 2023. The total withdrawn shares up to February 28, 2023 is 11,292,623 common shares which reverted to the Company as part of its unissued common shares. A total of 41,440 shares were fully paid and are currently being listed with the Philippine Stock Exchange for further distribution to the participants.

The primary terms of the grant are as follows:

Grant date	February 28, 2018
Number of options granted	11,391,500
Offer price per share	₱29.50
Option value per share	₱2.22

The fair value of equity-settled share options granted is estimated as at the date of grant using the Black-Scholes Option Model, taking into account the terms and conditions upon which the options were granted. The following table lists the inputs to the model used for the option grants:

Expected volatility	22.38%
Weighted average share price	₱29.50
Risk-free interest rate	4.71%
Expected life of option	5 years
Dividend yield	1.89%

The expected volatility reflects the assumption that the historical volatility is indicative of future trends, which likewise, may not necessarily be the actual outcome. The expected life of the options is based on historical data and is not necessarily indicative of exercise patterns that may occur. No other features of options grant were incorporated into the measurement of the fair value of the options.

As at September 30, 2025 and December 31, 2024, there are no exercisable shares under SPP.

The SPP does not have a dilutive effect because the average market price of the common shares during the period is less than the exercise price under the option.

Retained Earnings

Unappropriated retained earnings available for dividend distribution is adjusted to exclude the Parent Company's accumulated equity in net earnings (losses) of subsidiaries, associates and joint ventures amounting to ₱881.9 million as at September 30, 2025 and December 31, 2024.

Further, the Parent Company's loan agreement with its creditors limits the declaration of dividends up to 50% of the net income after tax for the immediately preceding financial year. This limitation has been in effect since 2004.

Treasury Shares and PDRs Convertible to Common Shares

Details of treasury shares and PDRs convertible to common shares held by the Parent Company as at September 30, 2025 and December 31, 2024 are as follows:

	Number of Shares			Amount
	Treasury Shares	PDRs Convertible to Common Shares	Total	
Balance at beginning and end of year	—	16,321,266	16,321,266	₱544,168

PDRs convertible to common shares represents ABS-CBN Holdings PDRs held by the Parent Company, which are convertible into ABS-CBN shares. Each PDR grants the holders, upon payment of the exercise price and subject to certain other conditions, the delivery of one ABS-CBN share or the sale of and delivery of the proceeds of such sale of one ABS-CBN share. The ABS-CBN shares are still subject to ownership restrictions on shares of corporations engaged in mass media and ABS-CBN may reject the transfer of shares to persons other than Philippine nationals. The PDRs were listed in the PSE on October 7, 1999 and may be exercised at any time from said date. Any cash dividends or other cash distributions in respect of the underlying ABS-CBN shares shall be applied by ABS-CBN Holdings, issuer of PDRs, towards payment of operating expenses and any amounts remaining shall be distributed pro-rata among outstanding PDR holders.

On January 20, 2022, the Board approved the sale of its treasury shares and PDRs held by ABS-CBN, to interested qualified institutional buyers. On January 21, 2022, a block sale of 21,322,561 ABS-CBN common shares and 11,507,379 PDRs was completed at a price of ₱15.23 for each common share and for each PDR. The purchaser for the common shares and PDRs was the Parent Company's principal shareholder, Lopez, Inc. at a total purchase price of ₱500 million.

24. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control.

The Group's BOD has the overall responsibility in ensuring that transactions with related parties are handled in a sound and prudent manner, with integrity and in compliance with applicable laws and regulations. The BOD approves material related party transactions prior to entering into said transactions should it be determined that all related party transactions within the 12-month period meet the aggregate threshold for material related party transactions which is 10% of the Group's total assets based on its latest audited financial statements. Related party transactions that involves exclusive contracts regardless of amounts or provided by a related party servicing 30% or more of its business with the Group shall be reviewed and approved by a board-level Risk Management Committee.

Transactions with Related Parties

In addition to the related party transactions discussed in Note 4, significant transactions of the Group with its associates, joint ventures and related parties are presented on the next page.

		Nine Months Ended September 30 (Unaudited)	
	Nature	2025	2024
Entities under Common Control			
Expenses paid by the Group to Goldlink Securities and Investigative Services, Inc. (Goldlink) and other related parties	Service fees and utilities expenses	₱40,048	₱85,005
Expenses and charges paid for by the Parent Company which are reimbursed by the concerned related parties	Rent and utilities	8,482	13,294

The receivables from related parties, presented under "Trade and other receivables" account and payables to related parties, presented under "Trade and other payables" account in the consolidated statements of financial position, are as follows:

				September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
	Relationship*	Terms	Conditions		
Due from (see Note 7)					
ALA Sports	Joint Venture	30 days upon receipt of billings; noninterest-bearing	Unsecured, with allowance of impairment of ₱78 million in 2024 and ₱55 million in 2023	₱77,777	₱77,571
Iloilo-Negros Air Express Company (INAEC)	Affiliate under common control	30 days upon receipt of billings; noninterest-bearing	Unsecured, no impairment	307	27,032
First Philippine Holdings Corporation (FPHC)	Affiliate	30 days upon receipt of billings; noninterest-bearing	Unsecured, no impairment	6,204	9,531
Lopez Holdings	Affiliate	30 days upon receipt of billings; noninterest-bearing	Unsecured	9,142	9,142
Rockwell Land Corporation (Rockwell Land)	Affiliate under common control	Payable in tranches based on the agreement; noninterest-bearing	Unsecured, no impairment	261	8,942
4 th Dimension Multi-purpose Cooperative	Affiliate under common control	30 days upon receipt of billings; noninterest-bearing	Unsecured, no impairment	–	3,693
Knowledge Channel Foundation, Inc.	Affiliate under common control	30 days upon receipt of billings; noninterest-bearing	Unsecured, no impairment	3,052	3,052
Goldlink	Affiliate under common control	30 days upon receipt of billings; noninterest-bearing	Unsecured, no impairment	–	2,500
Daum Kakao	Joint venture	30 days upon receipt of billings; noninterest-bearing	Unsecured, net of allowance of impairment of ₱0.3 million in 2024 and 2023	1,555	1,555
ABS-CBN Holdings Corporation	Stockholder	30 days upon receipt of billings; noninterest-bearing	Unsecured, no impairment	306	256
Others	Affiliates under common control	30 days upon receipt; noninterest-bearing	Unsecured, no impairment	39,640	235
Total				₱138,244	₱143,509
<i>*Affiliate pertains to various entities under common control of Lopez, Inc., ultimate parent company</i>					

				September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
	Relationship*	Terms	Conditions		
Due to (see Note 18)					
A C J O	Joint Venture	30 days upon receipt of billings; noninterest-bearing	Unsecured	₱10,074	₱10,074
ABS-CBN Bayan Foundation.	Affiliate	30 days upon receipt of billings; noninterest-bearing	Unsecured	–	5,001
Goldlink	Affiliate under common control	30 days upon receipt of billings; noninterest-bearing	Unsecured	11,393	–

				September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
	Relationship*	Terms	Conditions		
Others	Affiliates	30 days upon receipt of billings; noninterest-bearing	Unsecured	31,869	921
Total				₱53,336	₱15,996

*Affiliate pertains to various entities under common control of Lopez, Inc., ultimate parent company

- a. Rockwell Land agreed to purchase land properties of the Group with the following payment terms and conditions:

1. 10% of the purchase price upon execution and notarization of the contract to sell.
2. 80% of the purchase price upon execution of the Deed of Absolute Sale.
3. 10% of the purchase price within 7 business days from receipt by Rockwell Land of the electronic Certificate Authorizing Registration issued by the Bureau of Internal Revenue.

In 2024 and 2023, sale of land amounting to ₱679.0 million and ₱733.3 million were completed, which resulted to a gain on sale of ₱223.1 million and ₱231.8 million, respectively.

Also in 2024, the Group entered into a new transaction with Rockwell Land to sell the Parent Company's Iloilo property for total proceeds of ₱91.4 million. The related revaluation increment amounting to ₱89 million is closed-out to retained earnings. A balance of ₱9.1 million representing 10% retention of the transaction was recorded as part of due from Rockwell.

- b. In 2023, the Parent Company sold a certain land to Lopez Holdings Corporation for a total proceeds and gain on sale of ₱367.9 million.
- c. Other transactions with related parties include cash advances for working capital requirements.

The Group's Board of Directors reviews and approves material transactions with related parties, ensuring that these transactions are in the best interest of the Corporation, after considering all the relevant facts and circumstances available.

Terms and Conditions of Transactions with Related Parties

Except for transactions identified in the previous section as interest-bearing, outstanding balances as at financial reporting date are generally unsecured, interest-free and settlement occurs in cash, and are collectible or payable on demand. The Group recorded provision for ECL amounting to ₱21 million in 2024 and ₱65 million in 2022 (nil in 2023) [see Note 28]. This assessment is undertaken each financial year by examining the financial position of the related party and the market in which the related party operates.

Compensation of Key Management Personnel of the Group

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Compensation (see Notes 26, 27 and 28)	₱627,967	₱689,657
Termination benefits	135,047	110,086
Pension benefits (see Note 31)	29,924	31,375
Vacation leaves and sick leaves	21,822	22,498
	₱814,760	₱853,616

25. Revenues

Below is the disaggregation of the Group's revenues based on types of revenue:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Subscription revenue	₱4,150,086	₱5,551,479
Advertising revenue	5,465,570	4,761,441
Ancillary rights and other revenues	1,159,220	967,256
Income from film exhibition	124,373	229,781
Gate receipts	474,534	217,945
Royalty income	270,020	109,696
Sale of goods	37,708	67,236
Service fee revenue	51,434	62,811
Installation service revenue	8,559	145,312
Total revenue from contracts with customers	11,741,504	12,112,957
Channel lease and other rental income	8,417	5,950
Total revenues	₱11,749,921	₱12,118,907

26. Production Costs

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Personnel expenses and talent fees (Notes 28 and 31)	₱2,433,085	₱2,383,600
Facilities-related expenses (Note 33)	869,391	800,427
Amortization of program rights	186,909	262,113
Depreciation and amortization (Note 10)	179,783	263,546
Set requirements	163,789	103,720
Travel and transportation	108,252	81,903
License and royalty	95,764	98,756
Catering and food expenses	57,903	46,268
Other program expenses	968,781	966,340
	₱5,063,657	₱5,006,673

Personnel expenses include talent fees, salaries and other employee benefits.

Other program expenses consist of production expenses including, but not limited to, co-production expenses, prizes and other expenses related to the promotional activities of various projects during the year.

27. Cost of Sales and Services

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Facilities-related expenses (Note 33)	₱1,769,732	₱1,683,385
Depreciation and amortization (Note 10)	999,248	1,346,521
Personnel expenses (Notes 28 and 31)	844,947	1,108,534
Transportation and travel	291,613	104,757
Bandwidth costs	93,044	273,507
License fees and royalties	61,387	38,723
Amortization of other intangible assets (Note 13)	59,833	92,492
Taxes and licenses	58,716	53,305
Amortization of program rights (Note 13)	52,336	9,083
Stationery and office supplies (Note 8)	36,472	26,055
Inventory costs (Note 8)	23,481	6,182
Catering and food expenses	15,375	14,708
Set requirements	9,417	6,944
Freight and delivery	1,888	1,495
Others	213,068	214,274
	₱4,530,557	₱4,979,965

Personnel expenses include salaries, bonuses, retirement and separation pay and other employee benefits.

Cost of sales consists of the following:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Inventory costs (see Note 8)	₱1,160	₱70,871
Others	7,232	7,549
	₱8,392	₱78,420

28. General and Administrative Expense

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Personnel expenses (Note 31)	₱1,977,398	₱2,648,469
Contracted services	671,050	708,945
Facilities-related expenses (Note 33)	279,512	366,337
Taxes and licenses	278,227	305,658
Provision for ECL (Note 7)	255,886	236,520
Transportation and travel	114,781	147,835
Depreciation and amortization (Notes 10 and 12)	95,781	257,151
Research and survey	88,985	105,179
Advertising and promotion (see Note 9)	25,840	79,445
Entertainment, amusement and recreation	22,022	26,040
Donations and contributions	4,404	3,324

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Inventory losses (see Note 8)	499	233
Amortization of other intangible assets (Note 13)	—	38,722
Others	106,019	199,444
	₱3,920,404	₱5,123,302

Others consist mainly of amortization of other deferred charges, catering and food expenses, stationery and office supplies, noncapitalized fixed assets, and dues, subscription and periodicals.

Personnel expenses, included under “Production costs”, “Cost of services”, and “General and administrative expenses”, in the statements of comprehensive income, consists of the following:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Salaries and wages	₱3,763,055	₱4,242,996
Other employee benefits (Note 31)	1,308,279	1,480,961
Pension benefits (Note 31)	184,096	416,646
	₱5,255,430	₱6,140,603

29. Other Income and Expenses

Finance Costs

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Interest expense (see Notes 19, 21 and 33)	₱672,219	₱796,899
Amortization of debt issue costs (see Note 19)	36,559	13,268
Bank service charges	8,890	8,237
	₱717,668	₱818,404

The following are the sources of the Group’s interest expense:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Long-term debt (see Note 19)	₱649,050	₱762,696
Lease liability (see Note 33)	10,960	22,589
Convertible note (see Note 21)	12,209	11,614
	₱672,219	₱796,899

Other Income

	Nine Months Ended September 30	
	(Unaudited)	
	2025	2024
Gain on sale of property and equipment	₱28,351	678,597
Gain on sale of noncurrent assets held for sale (see Note 32)	-	₱414,684
Leasing operations (see Note 32)	69,950	70,495
Others - net	(33,747)	158,425
	₱64,554	₱1,322,201

Others mainly consist of income from unclaimed deposits, service fees and other miscellaneous income.

30. Income Tax

a. The provision for income tax consists of:

	Nine Months Ended September 30	
	(Unaudited)	
	2025	2024
Current	₱101,358	₱189,470
Deferred	(263,925)	(129,012)
	(₱162,567)	₱60,458

The components of consolidated net deferred tax assets and liabilities of the Group are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Deferred tax assets:		
Allowance for ECL	₱351,630	₱273,743
Accrued pension obligation and other employee benefits	376,329	373,494
Accrued expenses	256,206	270,772
Excess of the purchase price over the fair value of net assets acquired	179,804	192,794
NOLCO	374,703	179,483
Lease liabilities	56,679	48,846
MCIT	48,504	34,444
Customers' deposits	22,652	23,029
Net unrealized forex loss	11,572	16,256
Allowance for inventory obsolescence	15,243	5,789
Allowance for impairment loss on property and equipment	234	2,240
Others	10,709	156,305
	₱1,704,265	₱1,577,195
Deferred tax liabilities:		

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Revaluation increment on land	₱1,684,518	₱3,096,437
Net unrealized foreign exchange gain	298,290	413,204
Capitalized interest, duties, and taxes	130,376	130,491
Imputed discount	70,447	70,447
Right-of-use asset - net	207,695	233,270
	₱2,391,326	₱3,943,849

The details of the deductible temporary differences, NOLCO and MCIT of the Parent Company and certain subsidiaries for which no deferred tax assets were recognized are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
NOLCO	₱16,649,878	₱22,776,939
Allowance for ECL	12,902,173	12,307,642
Accrued pension obligation and others	7,614,247	7,720,303
Allowance for impairment loss	1,251,987	5,410,987
Contract liabilities	2,951,422	2,807,634
Allowance for decline in value of inventories	1,467,102	172,268
Allowance for impairment loss on property and equipment	913,324	617,715
MCIT	444,127	161,057
Unearned revenue	280,296	138,130
Lease liabilities	120,422	93,354

Management believes that it is not probable that taxable income will be available against which these temporary differences, NOLCO and MCIT will be utilized.

NOLCO amounting to nil have expired in 2025 and 2024. NOLCO amounting to ₱6,268.7 million and ₱710.1 million were claimed as deduction against taxable income in 2025 and 2024, respectively. NOLCO amounting to ₱162.1 million were derecognized in 2024 (nil in 2025).

MCIT amounting to nil and ₱27.1 million expired and were written off in 2025 and 2024, respectively. No MCIT was claimed as deduction against taxable income in 2025 and 2024. MCIT amounting to ₱37.9 million was derecognized in 2024 (nil in 2025).

As of September 30, 2025, MCIT amounting to ₱492.6 million can be claimed as tax credit against future RCIT as follow:

Year Paid	Expiry Dates	Amount
2022	December 31, 2025	₱35,097
2023	December 31, 2026	57,231
2024	December 31, 2027	54,991
2025	December 31, 2028	345,313
		₱492,632

On September 30, 2020, the BIR issued Revenue Regulations No. 25-2020 implementing Section 4(bbbb) of “Bayanihan to Recover As One Act” which states that the NOLCO incurred for taxable years 2020 and 2021 can be carried over and claimed as a deduction from gross income for the next five (5) consecutive taxable years immediately following the year of such loss.

As of September 30, 2025, the Group has incurred NOLCO in taxable years 2020 & 2021 which can be claimed as deduction from the regular taxable income for the next five (5) consecutive taxable years pursuant to the Bayanihan to Recover As One Act, as follows:

Year Incurred	Availment Period	Amount
2020	2021 to 2025	₱5,819,187
2021	2022 to 2026	3,067,069

As of September 30, 2025, the Group has incurred NOLCO in 2024, 2023 and 2022 which can be claimed as deduction from the regular taxable income for the next three (3) consecutive taxable years, as follows:

Year Incurred	Availment Period	Amount
2022	2023 to 2025	₱2,370,561
2023	2024 to 2026	1,421,211
2024	2025 to 2027	3,581,613
2025	2026 to 2028	2,231,098

The reconciliation of statutory tax rate to effective tax rates applied to income before income tax is as follows:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Statutory tax rate	25%	25%
Additions to (reduction in) income taxes resulting from the tax effects of:		
Interest income subjected to final tax	0	(0)
Nondeductible interest expense	(7)	(7)
Change in unrecognized deferred tax assets and others	(11)	(15)
Effective tax rates	7%	3%

The income tax on profits of overseas subsidiaries have been calculated at the rates of tax prevailing in the countries where such subsidiary operates, based on existing legislation, interpretations and practices in respect thereof.

Registration with the PEZA

On July 14, 2009, the PEZA approved the application of Big Dipper for registration as an Ecozone Information Technology (IT) Enterprise to provide digital film archiving, digital central library, content licensing and transmission at the 3rd Floor, Eugenio Lopez, Jr. Communications Center, Eugenio Lopez Drive, Quezon City. On December 6, 2022, Big Dipper secured PEZA Board Resolution No. 22-337 approving the Company's application for cancellation of its PEZA registration. The cancellation took effect on January 6, 2023.

On January 28, 2016, the PEZA approved the application of ABS-CBN Studios, Inc. for registration as an IT Export Enterprise for IT-enabled film and television content production at Barangay Sto. Cristo and Kaybanban, San Jose del Monte City, Bulacan, which is an IT park to be known as "Horizon IT Park".

On January 22, 2018, the PEZA approved the application of Rosetta Holdings Corporation for registration as an Ecozone Developer to establish, develop, administer, manage and operate the Horizon IT Park.

Base Erosion and Profit Shifting (BEPS) Pillar Two

The Organization for Economic Co-operation and Development (OECD) has published the Global Anti-Base Erosion (GloBE) Model Rules, which include a minimum 15% tax rate per jurisdiction on multinational enterprises with an annual consolidated group revenue of €750 million or more for two out of the four preceding fiscal years (“Pillar Two”). ABS-CBN Corporation and Subsidiaries (the Group) are in scope of the Pillar Two rules and has adopted the amendments to IAS 12. Although various countries implemented the Pillar Two Rules, it did not materially impact the 2024 results of the Group, except for Hungary (\$1.67 million or ₱96.01 million).

The Domestic Minimum Top-up Tax (DMTT) and the Income Inclusion Rule are expected to become effective in Singapore in 2025 while the United Arab Emirates (UAE) adopted only the DMTT to take effect in the same year. These rules may impact the Group, including the entities located in the Philippines, Singapore and UAE. However, the Pillar Two legislations were enacted close to the reporting date. Therefore, the Group is still in the process of assessing the potential exposure to Pillar Two income taxes as at 31 December 2024. The potential exposure of the Group, if any, to Pillar Two income taxes is currently not known or reasonably estimable. The Group expects to be in a position to report the potential exposure in its next interim financial statements.

For the year ended December 31, 2024, the Group has applied the IASB amendment to IAS 12, Income Taxes, which provides a mandatory temporary exception from recognizing or disclosing deferred taxes related to Pillar Two such that there is no deferred tax impact to the 2024 Consolidated Financial Statements. The Group continues to follow Pillar Two legislative developments to evaluate the potential future impact on the Group’s consolidated results of operations, financial position and cash flows beginning 2025.

31. Pension and Other Employee Benefits

Accrued pension obligation and other employee benefits consist of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Pension obligation	₱3,696,460	₱5,113,275
Other employee benefits	1,142,137	1,207,942
	₱4,838,597	₱6,321,217

These are presented in the consolidated statements of financial position as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current (see Note 18)	₱72,348	₱72,349
Noncurrent	4,766,249	6,248,868
	₱4,838,597	₱6,321,217

a. Pension Plan

The Group's pension plans are composed of funded (Parent Company and Sky Cable) and unfunded (other subsidiaries), noncontributory and actuarially computed defined benefit pension plans, except for ABS-CBN International (contributory), covering substantially all of its employees. The benefits are based on years of service and compensation during the last year of employment. Actuarial valuation is performed every year-end.

The tables below summarize the components of consolidated net pension expense recognized in the consolidated statements of income and accrued pension obligation recognized in the consolidated statements of financial position.

Net Pension Expense

	Nine Months Ended September 30	
	(Unaudited)	
	2025	2024
Current service cost	₱244,395	₱327,321
Net interest cost	202,691	195,515
Net pension expense	₱447,086	₱522,836

Accrued Pension Obligation

	September 30,	December 31,
	2025	2024
	(Unaudited)	(Audited)
Present value of obligation	₱3,838,161	₱5,341,767
Fair value of plan assets	(141,701)	(228,492)
Accrued pension obligation	₱3,696,460	₱5,113,275

Consolidated changes in the present value of the defined benefit obligation are as follows:

	September 30,	December 31,
	2025	2024
	(Unaudited)	(Audited)
Defined benefit obligation at beginning of year	₱5,341,767	₱5,610,698
Current service cost	244,395	482,039
Interest cost	202,691	290,393
Actuarial losses (gains) arising from:		
Change in financial assumptions	—	(281,966)
Change in demographic assumptions	—	(91,420)
Experience adjustments	(36,427)	238,165
Benefits paid*	(1,914,265)	(716,347)
Past service cost	—	(191,302)
Settlement loss	—	1,507
Defined benefit obligation at end of year	₱3,838,161	₱5,341,767

*includes benefits paid out of Group's operating fund amounting to ₱643 million and ₱386 million for 2024 and 2023, respectively

Changes in the fair value of plan assets of the Parent Company and Sky Cable are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Fair value of plan assets at beginning of year	₱228,492	₱318,463
Interest income included in net interest cost	—	30,743
Benefits paid from prior years separation	—	(70,746)
Benefits paid from retirement fund	—	(9,878)
Return on plan assets excluding amount included in net interest cost	(86,791)	(40,090)
Fair value of plan assets at end of year	₱141,701	₱228,492

Income tax effect of re-measurement gains and losses on defined benefit plan presented in OCI amounted to ₱127 million in 2024, ₱26 million in 2023, and ₱88 million in 2022.

The Parent Company and Sky Cable expect to contribute ₱484 million and ₱201 million, respectively, to the retirement fund in 2025, respectively.

The major categories of the fair value of total plan assets are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Investment in stocks	₱67,020	₱136,048
Investment in fixed/floating rate treasury note	64,779	81,073
Investment in government securities and bonds	4,725	5,426
Others	5,177	5,945
	₱141,701	₱228,492

The ranges of principal assumptions used in determining pension benefit obligations for the Group's plans are shown below:

	December 31 2024	January 1 2024	2023
Discount rate	6.02% -6.14%	6.05% -6.14%	6.35% -7.35%
Future salary rate increases	5.00% - 6.00%	5.00% - 6.00%	2.67% - 6.00%

ABS-CBN

On March 11, 2010, the BOD approved the re-constitution of the retirement committee who will actively manage the pension fund.

The retirement committee is composed of five members, four of whom are executive staff of the Parent Company and beneficiaries of the plan.

The retirement committee of the beneficial trust fund uses an investment approach with the objective of maximizing the long-term expected return of plan assets. The plan's investment portfolio seeks to achieve regular income, long-term capital growth and consistent performance over its own portfolio benchmark.

In order to attain this objective, the Trustee's mandate is to invest in a diversified portfolio of fixed income and equities. The investment portfolio consists of investment in equity and fixed income securities of 98% and 2% as at September 30, 2025, respectively, and 94% and 6% as at December 31, 2024, respectively. The Company contributed ₱254 million in 2014, ₱200 million in 2015 and

₱335 million in 2016. No contributions were made from 2017 to 2025. The company made a withdrawal amounting to ₱86.8M for the period ended September 30, 2025, and ₱20.9M for the year ended December 31, 2024.

The fair value of ABS-CBN's plan assets as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025	December 31, 2024
Fixed Income:		
Short-term	₱1,215	₱8,078
Equities:		
Investment in shares of stock and other securities of related parties	65,037	133,771
	₱66,252	₱141,849

Short-term Fixed Income. Short-term fixed income investment includes investments in short term UITF including money market funds and short-term funds in 2025 and 2024.

Equities. These pertain to investments in shares of stock and other securities of related parties and other companies listed in the PSE.

Investments in Shares of Stock and Other Securities of Related Parties. These pertain to investments in ABS-CBN common shares.

September 30, 2025				
	Number of Shares	Cost	Fair Value	Unrealized Loss
ABS-CBN Holdings PDRs	—	₱—	₱—	₱—
ABS-CBN Common	16,300,160	782,034	65,037	(716,997)
	16,300,160	₱782,034	₱65,037	(₱716,997)

December 31, 2024				
	Number of Shares	Cost	Fair Value	Unrealized Loss
ABS-CBN Holdings PDRs	—	₱—	₱—	₱—
ABS-CBN Common	31,850,260	1,528,082	133,771	(1,394,311)
	31,850,260	₱1,528,082	₱133,771	(₱1,394,311)

As at September 30, 2025 and 2024, the value of each ABS-CBN Common Shares held by the retirement fund is at ₱3.99 and ₱4.20, respectively.

Total loss from investments in shares of stock and other securities of related parties amounted to ₱717 million as of September 30, 2025 and ₱1,394 million as of December 31, 2024.

Sky Cable and PCC

Sky Cable's retirement benefit fund is being maintained by trustee banks, BDO and Rizal Commercial Banking Corporation.

The fair value of Sky Cable's plan assets as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Short-term fixed income	₱5,177	₱5,945
Investment in medium and long-term fixed income:		
Government securities	63,564	72,995
Corporate bonds	4,725	5,426
Unit investment trust fund	1,983	2,277
	₱75,449	₱86,643

Short-term Fixed Income. Short-term fixed income investment includes time deposit, special deposit account and special savings account with average interest rate of 5.4% as at September 30, 2025 and December 31, 2024.

Medium and Long-term Fixed Income. Investment in medium and long-term fixed income include Philippine peso-denominated bonds, such as government securities, corporate bonds, notes and debt securities.

Investment in Government Securities. Investment in government securities include treasury bills and fixed-term treasury notes bearing interest ranging from 3.38% to 8.63% as at September 30, 2025 and December 31, 2024. These securities are fully guaranteed by the government of the Republic of the Philippines. Total loss from investments in government securities amounted to ₱ 0.1 million and ₱0.4 million for the years ended December 31, 2024 and 2023, respectively.

Investment in Corporate Bonds. These pertain to ₱4.7 million and ₱5.4 million unsecured bonds with terms ranging from 4 to 7 years as at September 30, 2025 and December 31, 2024, respectively. Yield to maturity rate ranges from 3.29% to 5.74% with losses of ₱0.3 million in 2024 and 3.29% to 6.85% with losses of ₱0.2 million in 2023.

b. Other Employee Benefits

Other employee benefits consist of accumulated employee sick and vacation leave entitlement.

Net Benefit Expense

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Current service cost	₱16,346	₱64,879
Interest cost	51,336	66,809
Net benefit expense	₱67,682	₱131,688

Consolidated changes in the present value of the defined benefit obligation are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Defined benefit obligation at beginning of year	₱1,207,942	₱1,208,504
Current service cost	16,346	26,473
Past service cost (credit)	—	37,735
Interest cost	51,336	63,978
Actuarial loss (gain)	—	1,919

Benefits paid	(133,487)	(128,550)
Utilized bank leaves	—	(2,117)
Defined benefit obligation at end of year	₱1,142,137	₱1,207,942

The sensitivity analysis in the next page has been determined based on reasonably possible changes of each significant assumption on the accrued pension obligation and other employee benefits as at the end of the reporting period, assuming all other assumptions were held constant.

	2024	2023
	Increase (Decrease) in Accrued Pension Obligation and Other Employee Benefits	Increase (Decrease) in Accrued Pension Obligation and Other Employee Benefits
Discount rate:		
Increase by 1%	(₱346,049)	(₱371,810)
Decrease by 1%	250,684	355,753
Future salary increases:		
Increase by 1%	₱273,694	₱378,373
Decrease by 1%	(371,264)	(397,719)

Shown below is the maturity analysis of the undiscounted benefit payments:

Year	2024	2023
One year	₱1,138,972	₱998,982
More than one year but less than five years	1,467,843	1,826,438
More than five years but less than ten years	2,909,488	4,129,921
Beyond ten years	7,811,015	9,343,756

The average duration of the defined benefit obligation at the end of the period ranges from 6 to 16 years.

32. Noncurrent Assets Held for Sale

As at September 30, 2025, the following are the assets reclassified as noncurrent assets held for sale:

- Parcels of land at revalued amount with carrying amount of ₱1,590 million.
- Towers and transmission equipment and other equipment with carrying amount of ₱5 million. The fair value less cost to dispose of these equipment is higher than its cost.
- Various assets of Sky Cable with carrying amount of ₱365 million.

The sale of these assets are expected to be completed within a year from the reporting date.

In February 2024, the Group sold properties with cost amounting to ₱71 million, for total consideration amounting to ₱485 million.

As at December 31, 2024 and 2023, the appraised value of properties under mortgage classified as noncurrent asset held for sale were ₱6,901 million and ₱1,446 million, respectively.

On 27 February 2025, ABS-CBN Corporation and Ayala Land, Inc (the “Parties”) signed a Memorandum of Agreement for the sale of the portion of ABS-CBN’s real property located in Quezon City (the “Property”). The sale, covering 30,000 square meters (sqm.) out of the total 44,027.30 sqm. of the Property, was subject to certain conditions precedent, including Philippine Competition Commission (PCC) clearance.

On 20 August 2025, ABS-CBN Corporation and Ayala Land, Inc. signed the Deeds of Absolute Sale upon the compliance with the conditions precedent, for a total purchase price of P6,240 million.

ABS-CBN sold the property to Ayala Land, Inc. on an installment basis. The proceeds of the sale of the Property was paid to the Security Agent on behalf of ABS-CBN's Lenders and was used to partially pay and service its outstanding bank loans, pursuant to the Real Estate Mortgage between ABS-CBN and its Lenders. ABS-CBN and the Security Agent assigned the balance of the proceeds of the sale, via a receivables financing facility, to partially pay and service its outstanding bank loans.

Noncurrent assets held for sale are included as part of “Content Production and Distribution” business segment (see Note 5).

33. Commitments

Deal Memorandum with DirecTV

On June 1, 2005, the Parent Company and ABS-CBN International entered in to a 25-year Deal Memorandum (Memorandum) with DirecTV in which the Parent Company granted DirecTV the exclusive right via satellite, internet protocol technology and satellite master antenna television system or similar system, to display, exhibit, perform and distribute certain programs of the Parent Company that are listed in the Memorandum. ABS-CBN International may engage in any marketing plan mutually agreed by both parties. All costs under any mutually agreed marketing plans shall be shared equally between DirecTV and ABS-CBN International.

As provided in the Memorandum, all rights, title and interest in and to the content, discrete programs or channels not granted to DirecTV are expressly reserved by the Parent Company. All programming decisions with respect to the programs shall be in the Parent Company’s commercially reasonable discretion, including the substitution or withdrawal of any scheduled programs, provided that the Parent Company agrees that the programs will consist substantially of the same content and genre provided for in the Memorandum.

The Memorandum also provides that subscription revenues, computed as the current and standalone retail price per month for a subscription to The Filipino Channel multiplied by the average number of subscribers, shall be divided equally between DirecTV and ABS-CBN International.

Lease Commitments

As Lessor. The Parent Company has entered into commercial property leases on its building, consisting of the Parent Company’s surplus office buildings. These non-cancelable leases have remaining non-cancelable lease terms of 3 to 5 years. All leases include a clause to enable upward revision of the rental charge on a predetermined rate.

Future minimum rental receivable under operating leases are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Within one year	₱10,330	₱51,671

After one year but not more than five years	375,605	243,735
	₱385,935	₱295,406

As Lessee. The Parent Company and subsidiaries lease office facilities, space, equipment and indefeasible right of use (IRU) granted by various telecommunication companies. These lease agreements include extension and termination options. These options are negotiated by management to provide flexibility in managing the leased-asset portfolio and align with the Group's business needs. Management exercises significant judgement in determining whether these extension and termination options are reasonably certain to be exercised.

In 2024, there were expired lease contracts related to office facilities for its contact center business and tower sites.

The rollforward analysis of lease liabilities as of December 30, 2025 and December 31, 2024 follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at beginning of year	₱434,963	₱523,218
Additions	2,240	28,806
Interest expense	10,960	35,462
Interest paid	(10,960)	(35,462)
Termination	(24,330)	(89,740)
Payments	(19,264)	(27,321)
Balance at end of year	393,609	434,963
Less current portion	336,589	340,231
Noncurrent portion	₱57,020	₱94,732

34. Financial Risk Management Objectives and Policies

The Group's principal financial instruments comprise cash and cash equivalents, short-term investments, investments in equity securities and club shares and interest-bearing loans and borrowings. The main purpose of these financial instruments is to raise funds for the Group's operations. The Group has various other financial assets and liabilities such as trade receivables and trade payables, which arise directly from its operations.

It is, and has been throughout the year under review, the Group's policy that no trading in financial instruments shall be undertaken.

The main risks arising from the Group's financial instruments are cash flow interest rate risk, foreign currency risk, credit risk and liquidity risk. The BOD reviews and agrees on the policies for managing each of these risks and they are summarized below.

Capital Management

The Group's capital structure pertains to the mix of long-term sources of funds. When the Group expands, it needs capital, and that capital can come from debt or equity.

No changes were made in capital management objectives, policies or processes as of September 30, 2025 and December 31, 2024.

The Group's approach focuses on efficiently allocating internally generated cash for operational requirements and investments to grow the existing business.

35. Financial Assets and Financial Liabilities

The following tables set forth the carrying amounts and estimated fair values of consolidated financial assets and liabilities recognized as at September 30, 2025 and December 31, 2024. There are no material unrecognized financial assets and liabilities as at September 30, 2025 and December 31, 2024.

September 30, 2025 (Unaudited)					
	Carrying Amount	Fair Value	Level 1	Level 2	Level 3
Financial Assets					
Financial assets at amortized cost:					
Deposits*	₱198,069	₱175,589	₱—	₱—	₱175,589
Financial assets at FVOCI	14,419	14,419	—	—	14,419
	212,488	190,008	—	—	₱190,008
Financial Liabilities					
Other financial liabilities at amortized cost:					
Interest-bearing loans and borrowings	12,934,389	11,826,428	—	—	11,826,428
Convertible note	230,360	166,412	—	—	166,412
	₱13,164,749	₱11,992,840	₱—	₱—	₱11,992,840

*Included under "Other noncurrent assets" account

December 31, 2024 (Audited)					
	Carrying Amount	Fair Value	Level 1	Level 2	Level 3
Financial Assets					
Financial assets at amortized cost:					
Deposits*	₱227,676	₱206,409	₱—	₱—	₱206,409
Financial assets at FVOCI	14,269	14,269	—	—	14,269
	241,945	220,678	—	—	220,678
Financial Liabilities					
Other financial liabilities at amortized cost:					
Interest-bearing loans and borrowings	15,817,798	15,590,713	—	—	15,590,713
Convertible note	218,152	166,412	—	—	166,412
	₱16,035,950	₱15,757,125	₱—	₱—	₱15,757,125

*Included under "Other noncurrent assets" account

Fair Value Determination

The following methods and assumptions were used to estimate the fair value of each class of financial instrument for which it is practicable to estimate such value:

Cash and Cash Equivalents, Short-term Investments, Trade and Other Receivables and Trade and Other Payables and Obligations for Program Rights. Due to the short-term nature of transactions, the fair values of these instruments approximate the carrying amounts as at financial reporting date.

Deposits. Fair value of these instruments is computed by discounting future cash flows using the risk-free interest rates for similar type of instruments adjusted for credit risk.

Financial assets at FVOCI. The fair values of publicly-traded instruments were determined by reference to market bid quotes as at financial reporting date while fair value of golf club shares have been determined by reference to the price of most recent transaction at the end of reporting period. The fair values of the non-listed equity investments have been estimated using a discounted cashflow model. The valuation requires management to make certain assumptions about the model inputs, including forecast cash flows, the discount rate, credit risk and volatility. The probabilities of the various estimates within the range can be reasonably assessed and are used in management's estimate of fair value for these non-listed equity investments.

Interest-bearing Loans and Borrowings. Estimated fair value is based on the discounted value of future cash flows using the applicable risk-free rates for similar types of loans adjusted for credit risk. The interest rates used to discount the future cash flows have ranged from 4.7% to 6.0% in 2025 and 5.0% to 8.5% in 2024.

Convertible Note. Fair value was computed based on the discounted value of future cash flows using the applicable BVAL rate plus 1% credit spread, respectively.

There were no transfers between levels in the fair value hierarchy as at September 30, 2025 and December 31, 2024.

Offsetting of Financial Assets and Financial Liabilities

There is no offsetting of financial assets and financial liabilities as at September 30, 2025 and December 31, 2024.

36. EPS Computations

Basic EPS amounts are calculated by dividing the net loss for the period attributable to common shareholders by the weighted average number of common shares outstanding (net of PDRs) during the period.

The following table presents information necessary to calculate EPS:

	Nine Months Ended September 30	
	(Unaudited)	
	2025	2024
Net loss attributable to equity holders of the Parent Company	(P1,995,457)	(P2,407,124)
Dividends on preferred shares	(4,000)	(4,000)
(a) Net loss attributable to common equity holders of the Parent Company	(1,999,457)	(2,411,124)
(b) Weighted average number of shares outstanding:		
At beginning and end of year	899,848,111	899,848,111
Basic/diluted EPS (a/b)	(P2.222)	(P2.679)

The Group has no dilutive potential common shares outstanding, therefore basic EPS is the same as diluted EPS.

37. Note to Consolidated Statements of Cash Flows

Changes in liabilities arising from financing activities:

	January 1, 2025	Net cash flows	Noncash changes	September 30, 2025
Term loans (Note 19)	₱15,817,799	(₱2,730,942)	(₱152,468)	₱12,934,389
Lease liabilities (Note 33)	434,963	(19,265)	(22,089)	393,609
Interest payable (Note 18)	193,573	(645,893)	660,011	207,691
Dividends payable (Note 18)	44,481	—	—	44,481
Deposits for future subscription (Note 18)	1,287,421	—	—	1,287,421
Total liabilities from financing activities	₱17,778,237	(₱3,396,100)	₱485,454	₱14,867,591

	January 1, 2024	Net cash flows	Noncash changes	December 31, 2024
Term loans (Note 19)	₱17,189,790	(₱1,385,903)	₱13,912	15,817,799
Lease liabilities (Note 33)	523,218	(27,321)	(60,934)	434,963
Interest payable (Note 18)	207,476	(1,081,253)	1,067,350	193,573
Dividends payable (Note 18)	44,481	—	—	44,481
Deposits for future subscription (Note 18)	1,287,421	—	—	1,287,421
Total liabilities from financing activities	₱19,252,386	(₱2,494,477)	₱1,020,328	₱17,778,237

Noncash changes include effect of accrual of dividends and interests, amortization of debt issue costs and the accretion of interest on finance leases.

38. Contingent Liabilities and Other Matters

- In relation to the consolidation of Sky Cable and Home Cable in 2004, a competitor television broadcasting company (complainant) filed a case before the NTC for unlawful merger and unlawful cross-ownership and common control and operations of telecommunications companies and cable companies with a prayer for cease-and-desist order. As at September 30, 2025, the hearing of this case is ongoing before the NTC. Management believes that the case filed by the complainant is without legal basis and would not have a material impact on the consolidated financial statements.
- The Group is also subject to periodic examinations by tax authorities and has other legal cases in the ordinary course of business, which are pending in courts or under protest. In consultation with its legal counsel, management believes that the outcome of these examinations and cases are not material to affect the Group's financial position and financial performance.

Disclosure of additional details beyond the present disclosures may seriously prejudice the Group's position. Thus, as allowed by PAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, only general descriptions were provided.

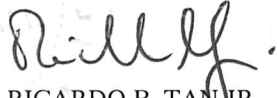
SIGNATURE

For the SEC 17-Q Third Quarter 2025
Report

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Registrant: ABS-CBN Corporation

By:



RICARDO B. TAN JR.

Group Chief Financial Officer

Signed this __th day of November, 2025

NOV 13 2025

SUBSCRIBED AND SWORN to me before this ____ day of _____, 2025. Affiants exhibiting to me their Passports, as follows:

NAMES

RICARDO B. TAN JR.

PASSPORT NO.

P7898714B

DATE OF EXPIRY

October 17, 2031

PLACE OF ISSUE

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